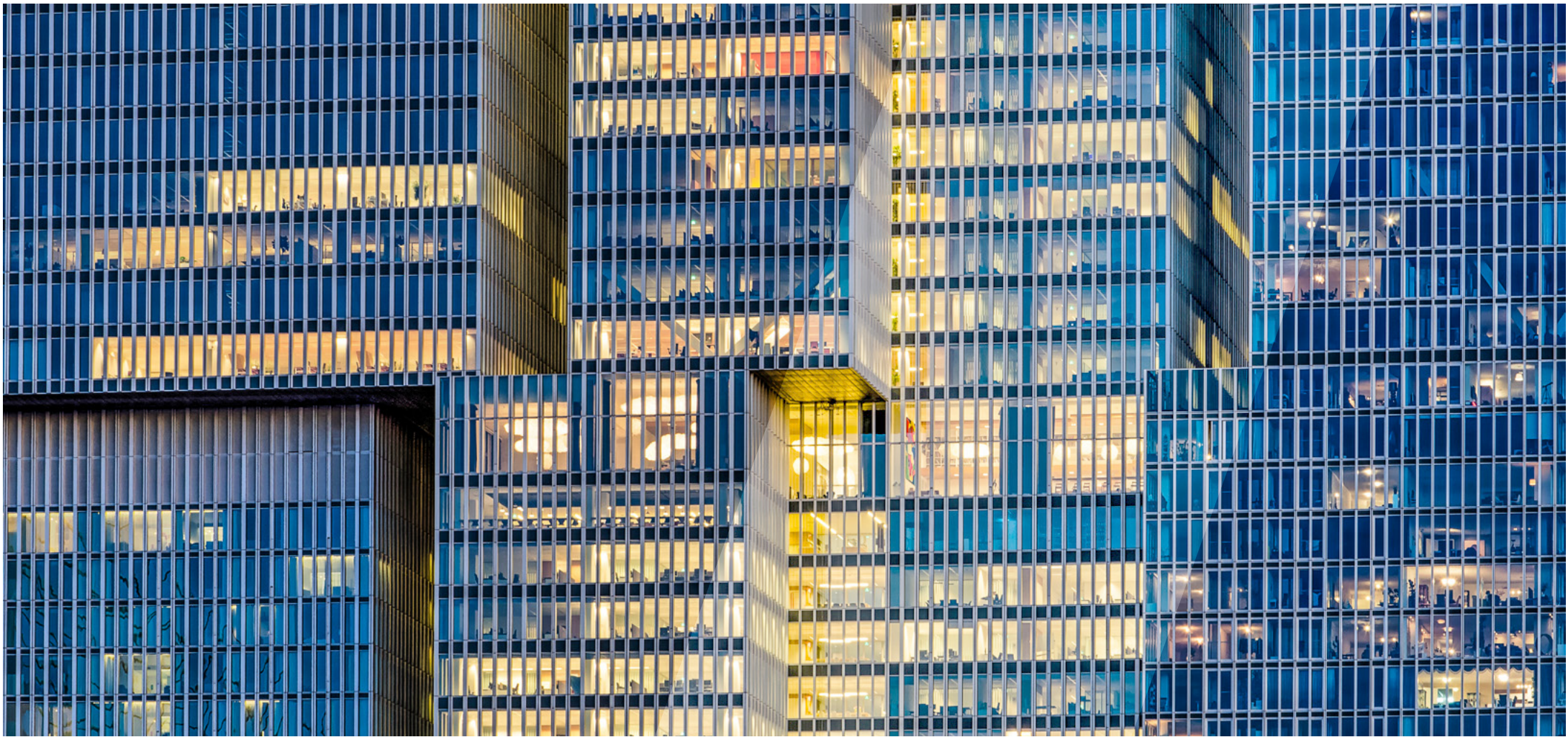




Forvis Mazars in the Netherlands

Transparency Report 2023 / 2024

forv/s
mazars



Contents

4	Vision on quality
7	Quality and quality control in 2023 / 2024
11	Governance and leadership
31	Relevant ethical requirements
35	Acceptance and continuance of clients and engagements
37	Resources
44	Engagement performance
56	Monitoring and remediation
62	Supervisory Board
66	Statement by policy makers
68	Annexes

Where this Transparency Report refers to a Public Interest Entity (PIE) and statutory audit, this refers to the definition under Dutch law.

Vision on quality

Quality above all else

Quality has always been a driving force at Forvis Mazars and remains at the core of the organisation we are building today. Quality is first and foremost a mindset, which must be woven into everything we do. This past year we saw further developments impacting the profession, including the war on talent, new standards and requirements, and the fast pace of technological change. Against this backdrop, quality remains the backbone of our professional reputation and is one of the core pillars of our strategy. We continued to work on our quality vision ‘Forvis Mazars enhances trust through leading quality’. Quality and reputation are crucial to our continued existence and development.

We look to the future with a clear vision and a forward-thinking mindset. We are set to support our clients, people, communities and industry, creating new opportunities for success. Always keeping in mind our quality vision and the role we play in society.

The past few years were defined by a series of challenging events and circumstances compelling businesses, individuals and governments to build resilience, perfect the skill of adaptability, and plan ahead amidst uncertainty.

Increased compliance, digitalisation and sustainability priorities add not only complexity but create also vast possibilities to develop new strategic growth plans. We are set to accompany our clients on this journey, helping them explore novel ways to create value and succeed on their own terms, now and in the future.

Our people-oriented culture

At Forvis Mazars, we are people-oriented and always up to a challenge. This people-focus is immediately

perceptible in our culture. It means that we strive for the right balance between people and processes. We work together on the personal and professional development of our teams. It is important that our people are responsible for their own careers, have a real say, and can make a difference. They have the opportunity to lead, innovate, and be entrepreneurial. We expect our people to use their talent both in their work for clients and for the communities around us. To retain our people and recruit new talent, meaningful and challenging work, professional support, modern training programmes and ample personal attention and coaching from partners and managers are essential and a clear sign of our people-oriented culture.

Investing in our people

Both nationally and internationally, Forvis Mazars invests in the quality of its training programmes to give true meaning to our vision: ‘Forvis Mazars, a global school of excellence, a great place to learn, for all’.

We invest in our people, and this applies to all service lines and especially Audit & assurance. This year we took more steps to build Forvis Mazars into this school of excellence, where our people can learn technical, business and soft skills, ranging from ESG to coaching and from communications to inclusion. Through our programmes, we nurture a pool of critical thinkers and responsible leaders.

Quality management

We strive by executing our quality programme ‘Trust through Quality’ to deliver undisputable and reliable audit quality. This report shows the efforts to achieve this. We invested heavily in the implementation of Atlas, our new audit platform. After the initial start-up challenges, this platform will help us in our quality management and to achieve higher consistent quality. However, as this report will also show, we are not yet at the desired consistent high level of sustainable positive results in our internal quality reviews. Due to the tight and tense labour market, attracting talent for

Vision on quality

Investing where it counts

roles specific for the Compliance, quality monitoring & risk department proved and continues to prove to be a challenge. Further reinforcement is still needed. This means that a strong focus on further development of our quality management systems is a priority also for coming years. This includes the further improvement of the audit work performed by auditors and audit teams.

Exam irregularities and learning organisation

Over the past two years, at the request of the regulator (AFM), an in-depth investigation took place into possible irregularities in exams taken by staff and partners of Forvis Mazars. All PIE licensed firms in the Netherlands are performing similar investigations. The investigation of Forvis Mazars is expected to be finished in the first quarter of 2025. Our role as an organisation and as professionals in society, where trust is derived from our services, means that irreproachable behaviour can be expected of us. Deviations from this do not fit our own values and standards, nor the professional standards and values of professionals working with us. This message has been clearly and firmly conveyed internally to our employees and partners. As soon as the investigation is finished we will report on the results.

We realise more than ever that we need to stay alert and focused, and that learning from our mistakes is part of our way of working. This will allow us to continuously improve our audit quality and to make

sure that we do the right things in the proper context and that we help our teams in this process.

The future of audit

The market expectations are shifting, regulatory requirements are evolving, technology is transforming the way audits are performed and sustainability is inviting itself to the table. All these evolutions that reshape the audit industry are critical to building trust in business and society – they are essential elements of a new trust equation, in which Forvis Mazars is playing its full part. We firmly believe that audit is critical to the economic foundations of a fair and prosperous world and that audit remains a service at the heart of our value creation model. Audit faces ambitious and stimulating changes, both in terms of the way the work is performed, with increasing support from new technologies and artificial intelligence (AI), and its scope, including Financial, Sustainability, IT and Internal Controls reporting.

We are fully on board and have seriously invested in the right expertise to best serve our clients. An interesting challenge and a great opportunity. Also more focus in the audit is directed at identifying fraud risks. A highly specialised expertise that we have and are still investing in.

Now and in the future, we are committed to assisting our clients identify and seize the right opportunities to support their ambitions, and to achieve more success through sustainable, purposeful growth.

Forvis Mazars

This year we took a transformational step through the creation of our new network, 'Forvis Mazars'. By joining forces on 1 June 2024 with FORVIS, a top ranked firm in the United States, we became a unique two-firm network: Forvis Mazars LLP in the United States and Forvis Mazars Group SC, an internationally integrated partnership operating in over 100 countries, including the Netherlands. It is our aim to influence change in our industry, delivering greater access and increased choice in what is currently a concentrated, but vital market. We strive to work as one team, with deep local expertise and consistency across borders, to serve our clients with an unparalleled quality of service wherever they are in the world.

“Quality will remain the cornerstone of all our activities, including our newest one, sustainability reporting and assurance.”

Peter Hopstaken

Partner, Member of the Executive Board,
Head of Audit

Vision on quality

Investing where it counts

By expanding our presence in the United States and entering the global top ten, we are building an even stronger firm; a global platform equipped to deal with the challenges our clients face now and moving forward. From mastering new technology, embracing sustainability and complying with evolving regulation, our multidisciplinary model covers the needs of our domestic and international clients, no matter the size or industry. This, to us, is what serving the public interest looks like in action.

Our footprint

Attention for each other and the environment in which we live, sustainable employability, diversity, inclusiveness, education and job satisfaction are key. Adequate attention to sustainability across the board is necessary to achieve this. We continue to develop sustainable services, reduce our environmental impact and contribute to our local communities.

Insight into our global partnership

Wherever we work, we work together as an integrated team. Forvis Mazars Group SC publishes its annual Transparency Report and provides insight into its worldwide partnership. At Forvis Mazars in the Netherlands we are committed to actively contribute to this every day. We look at the years to come with

confidence and are excited to continue to work closely with our partners and teams at building an organisation for future generations. Forvis Mazars will continue to play its part.

On a more personal note and in the light of a new leadership formally starting per 1 January 2025 we would like to express our gratitude and appreciation to the partners and their teams. We are proud of the support we have felt over the past years and the efforts that were made to bring our quality vision 'Trust through quality' even further each and every day. We wish the new leadership success in keeping the vision alive.

Rotterdam, 27 December 2024
Forvis Mazars Accountants N.V.



Ton Tuinier
Partner, Chairman of the Executive Board



Peter Hopstaken
Partner, Member of the Executive Board, Head of Audit

“We pride ourselves on being a different kind of firm – one that contributes to a fair and prosperous world by caring for the success of our people and clients, the health of financial markets and the integrity of our profession.”

Ton Tuinier
Partner, Chairman of the Executive Board

Quality and quality control in 2023 / 2024

This introduction to the Transparency Report explains how we implement our quality ambition.

What do we understand by quality?

Quality is a complex concept to interpret. There is no universal definition available within the accountancy profession. Based on guidance issued by the Royal Netherlands Institute of Chartered Accountants (NBA) the following elements of quality are relevant to our quality ambition:

- Sufficient time of audit staff members to perform the engagement
- A balanced and diverse audit team, with attention for coaching and review
- Adequate process management
- A minimum quality level at the client; especially with respect to internal control and governance
- A learning organisation with an 'open' culture where making mistakes is part of a learning culture
- Clarity of professional requirements and their practical application
- A professional attitude and a professional-critical mindset

Elements that we endorse in relation to our quality ambition:

- Performing the engagements in accordance with the relevant auditing standards and other legislation and regulations

- An environment and culture that enables audit teams to issue appropriate audit reports
- Acting in accordance with the public interest, meeting the expectations of stakeholders and clients, to the extent appropriate with the auditor's independent role

In this context, our 'Trust through Quality' ambition still remains of fundamental importance.

Consistent quality - managing change

Based on the above-mentioned elements of quality, important pillars of the quality control system at Forvis Mazars are:

- Client and engagement acceptance: are the right clients and engagements accepted and continued from a risk management perspective, but also based on available (quantitative and qualitative) capacity
- A control system to monitor independence, which is explained elsewhere in this Transparency Report
- Consistent performance of audit engagements based on the Forvis Mazars Audit Methodology (MAM) with the use of electronic files and tools based thereon
- Acting in accordance with the system described in the Quality Management Manual and the Forvis Mazars Code of Conduct

- Education and training ('on the job') of partners and staff
- A low threshold consultation process with the Professional practice accountancy department (PPA)
- Sufficient staffing (quantitative and qualitative) of functions related to quality control and professional practice
- A blame-free environment to raise, discuss and learn from mistakes
- Coaching to ensure that the audit engagements performed comply with relevant auditing standards and the MAM
- A system of engagement quality control reviews (EQCR), internal quality reviews (IQR) and thematic reviews (TR) to assess whether the quality requirements have been met and to make adjustments where necessary
- Periodic reports to the Executive Board and Supervisory Board
- Annual evaluation of the quality system and implementation of adjustments when needed (based on the PDCA cycle)

Various subjects are explained in more detail in this Transparency Report.

Quality and quality control in 2023 / 2024

Integrated quality and culture plan

Our overall quality objective is to deliver high-quality audits and achieve our quality vision: 'Trust through Quality'. To achieve the overall quality objective we work with our teams on our integrated quality and culture plan. The root cause analysis on quality has resulted in factors that improve quality, this is the basis for the integrated quality and culture plan. Key quality and culture topics are:

- **Focus & leadership:** We focus, make decisive choices in what we do and we do those things well.
- **Process management & monitoring:** We monitor to encourage each other to timely execute our plans.
- **Collaboration & speak-up:** We encourage everyone to better collaborate and to have 'the real conversation'. We provide tools to support this process.

Listed below are a few examples of projects that are part of the integrated quality and culture plan:

Focus & Leadership

Project 'Less is more' - To bring more focus to the audit, the 'Less is more' working group identified ways in which efficiency gains in audit methodology could be achieved.

Reduction indirect hours - Over the past year, a review was made to analyse and gain an understanding of indirect tasks per function level, as employees perceived work pressure by the many indirect tasks that are required by them. Reduction of these indirect hours has our constant attention.

Process management & monitoring

Introduction audit milestones - The audit milestones were introduced for the audit service line because timely planning of all key steps of the audit helps improve audit quality.

Introduction Atlas NextGen - In 2023 / 2024, we fully migrated to Atlas NextGen, our new global audit tooling. It will help to bring better structure in the audit process and documentation and so to improve audit quality.

Collaboration & speak-up

Feedback menu - The feedback menu offers several interventions to further encourage our teams to ask and give feedback at both individual and team level.

Partner programme - Launched in June 2021, the partner programme aims to strengthen Forvis Mazars' leadership.

Evaluation

We annually, lastly in the summer of 2024, evaluate the integrated quality and culture plan. It was concluded that the implementation of the key topics showed different phases of realisation.

We also reassess whether we are still working on the right topics. For this reassessment the Executive Board receives quarterly reports on the status of the integrated quality and culture plan. These reports include the most important developments and quality findings per topic. We concluded that we are on our way to achieve our overall quality objective and are doing the right things. We do however still need to take further steps to fully embed the actions into daily practice.



Quality and quality control in 2023 / 2024

ISQM1 system of quality management

As required by the International Auditing and Assurance Standards Board's, International Standard on Quality Management (ISQM1), Forvis Mazars in the Netherlands must design, implement and operate a system of quality management (SoQM) for audits or reviews of financial statements, or other assurance or related services engagements performed by the firm. The objectives of the SoQM are to provide the firm with reasonable assurance that:

- The firm and its personnel fulfil their responsibilities in accordance with professional standards and applicable legal and regulatory requirements, and conduct engagements in accordance with such standards and requirements
- Engagement reports issued by the firm or engagement partners are appropriate in the specific circumstances

It's main elements are:

- The formal application of a globally consistent risk assessment process (RAP)
- Ongoing evaluation of emerging risks and implementation of required new responses, if applicable
- Testing of the effectiveness of the control environment to align with ISQM1 requirements

- Consistent monitoring and remediation processes, including root cause analysis of deficiencies, to better align with ISQM1 requirements

The evaluation of our SoQM is performed annually, and considers the results of the testing of the design and implementation of (new or revised) controls and the operating effectiveness of controls installed for the financial year.

Our internal (Group and local) monitoring programmes are designed to identify findings and quality deficiencies both in respect of individual engagements and the overall SoQM.

If deficiencies are identified we evaluate the severity and pervasiveness of the identified deficiencies, and the effect of the identified deficiencies individually and in the aggregate, on the SoQM, with consideration of remedial actions taken as of the date of the evaluation.

The results are reported to Executive Board and are assessed by an independent Group moderation team.

We conducted the evaluation in accordance with ISQM1 and applied the Forvis Mazars Group testing and evaluation guide. In doing so, we have concluded that, whilst certain areas for improvement were identified for which remediation plans are in place, our system of quality management provides reasonable assurance that the objectives of the system are being achieved as of 31 August 2024.

Forvis Mazars Code of Conduct

In the Netherlands, the worldwide Forvis Mazars Code of Conduct is leading regarding culture and behaviour. This Code of Conduct is a practical guide to help all our staff, regardless of age, position or country, to recognise dilemmas, make the (difficult) right choices and take the right decisions, in line with our values. The Code of Conduct is based on the following core values:

Integrity

Responsibility

Diversity and respect

Technical excellence

Independence

Stewardship

Quality and quality control in 2023 / 2024

Act with integrity

Forvis Mazars' success is based on our relationship of trust with our clients and stakeholders. To maintain this trust, we must always be honest and straightforward.

Be accountable

We take responsibility for our personal and professional conduct. We care about our impact on communities and seek to make a positive difference.

Respect people

Our strength lies in the people we work with. We treat everyone with respect, so they feel valued for their diversity, unique perspective and contribution.

Deliver outstanding quality

We aim always to deliver outstanding work. We innovate and develop our people to meet our clients' and stakeholders' evolving needs.

Think independently

We are trusted advisors. Our advice is objective and unbiased. We value our independence and always act to the highest professional standards.

Shape the future

Forvis Mazars is a sustainable business. We build long-term relationships, encourage entrepreneurship and plan for succession.

Responding to fraud

At Forvis Mazars we help build the economic foundations of a fair and prosperous world and we do this by enhancing trust through leading quality. As in the previous years we invested in our quality system with respect to detecting fraud.

During the year 2023 / 2024, 10 audit colleagues followed the fraud course which makes a total of 24 active fraud coaches at year end.

In addition, Forvis Mazars started offering Forensic investigation services from September 2023. Since the start three forensic experts have joined the Forensic investigation and integrity department. They are also available to provide assistance in the Audit & assurance service line. That makes a total of four forensic experts at year end.

These investments have led to the following results during 2023 / 2024:

- Each audit partner selected one audit engagement for fraud coaching. In total 27 coachings have been performed.
- Each audit partner selected one audit engagement for a quick scan relating to the response to fraud risks. In total 35 quick scans have been performed.
- Support on 49 consultations regarding fraud, corruption, non-compliance with laws and regulations and money laundering.
- Support on 65 consultations regarding reporting on

fraud risks in the audit opinions for public interest entities.

- Toolkits relating to the possible responses to fraud risks in revenue recognition and to fraud risks in the procurement-to-pay process have been developed.
- Updated work programme for corruption.
- Mandatory training on corruption for junior managers and higher function levels in our Audit & assurance service line.
- Other mandatory training on a variety of topics of fraud and corruption for other functional levels based upon our comprehensive training plan.

Governance and leadership

Culture and behaviour

Culture programme

Our aim is to maintain a sustainable quality-oriented culture that supports ethical and exemplary behaviour. We work on quality-enhancing changes and improvements in processes and systems. In addition, we focus on our people and their behaviour by continuously monitoring and improving behavioural aspects that affect the quality of our services. Together, this forms the foundation of our quality-oriented culture, which is the basis for our services.

Our quality vision is the basis for the Culture programme:

Forvis Mazars enhances trust through leading quality

With this quality vision, Forvis Mazars emphasises that our right to exist is based on delivering trust. Trust is the provision of assurance to society that a correct and ethically sound opinion is given. Providing trust is the 'license to operate' for our entire organisation, for all service lines and staff. This trust must always be earned.

We need everyone to have the public interest at heart and understand why we work to improve the quality of our services. Through clear communication, we facilitate that everyone contributes. In the past year, we have continued to work on improving quality in a systematic and process-based manner.

Our Culture programme focuses on five topics:

Leading by example

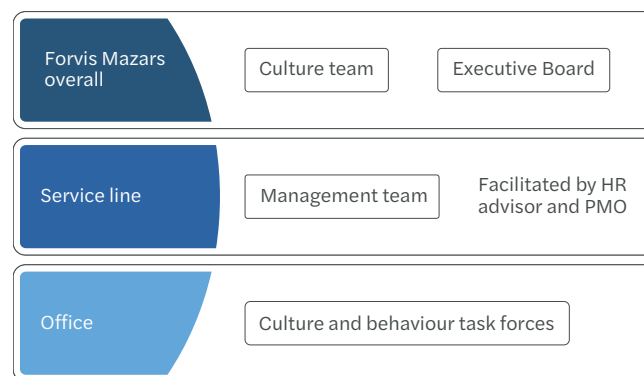
Learning organisation

Well-being

Purpose

Inclusion

Structure culture and behaviour



The Executive Board continuously monitors the progress of the programme and makes adjustments where necessary. Periodic reflections are held with the Supervisory Board to ensure the objectives are met. To work as effective as possible on the joint development of initiatives that make a targeted and direct contribution to the optimisation of quality in daily practice, the monitoring and steering of the implementation of the activities lies with the service line leader and the service line management team. Through local culture and behavioural task forces we ensure the effective implementation of the local initiatives.

The cooperation between different departments within Forvis Mazars (e.g. Learning & development, HR and Compliance, quality monitoring & risk) regarding culture and behaviour was intensified. Additionally, the lines of communication are shortened to ensure a more interlaced culture and behaviour throughout the whole organisation, making the Culture programme an actual organisational programme.

The annual PDCA cycle for culture and behaviour is structured. In the past year, the practices have continued to work on their culture plans with local initiatives. Based on the results of the Global People Survey and various internal sources and research initiatives, e.g. root cause analyses, HR data, MT management information, etc., an intervention

Governance and leadership

Culture and behaviour

proposal was made describing the expected impact of the interventions. In addition, it was explained how both the use and expected impact of the recommended interventions can be monitored. These interventions aim to reduce the gap between the identified issues and the desired culture. Monitoring shows that the service line teams actually implement the planned interventions and any follow-up actions. Also it shows whether this intervention has an impact, and if so, what this impact is (likely to be). If the intervention does not appear to have an impact, the monitoring process provides feedback so that an alternative can be devised. The results were summarised and evaluated centrally, and the following focus points were determined for the coming year:

1. Fostering a feedback culture
2. Reducing the perceived workload and improving work-life-study balance
3. Improving work processes for efficient operations

Some interventions are described earlier in the integrated quality and culture plan, for example the feedback menu, reducing indirect hours and the introduction of the audit milestones.

Partner programme

Our partner programme aims to strengthen Forvis Mazars' leadership on various topics. A mix has deliberately been chosen between hard topics such as digitalisation and CSRD and soft topics such as learning organisation, leadership and culture and behaviour. On these topics we focus on the development of the partner, the team and the organisation. After each General Meeting of Shareholders (four times per year), a half-day session is devoted to the partner programme with external and/or internal speakers and followed by an interactive session. The aim is to offer inspiration and knowledge to partners so they can apply this in their own team and leadership.

Global People Survey

We believe that communication should be a two-way dialogue, and so a key aspect of our communication is listening to our partners and staff. Only with engaged, talented people we can deliver quality and excellence in line with our expectations. Employee engagement surveys are a great way to give a voice to our people and to learn what they really think about life at Forvis Mazars. In October 2023, Forvis Mazars Group deployed its first annual Global People Survey (GPS) starting with a launch to over half of its workforce.

The GPS was designed to gather insights through a set of scientifically validated questions related to employee engagement and quality. Once the insights had been gathered, the results were interpreted centrally to provide in-depth cross-area analysis, including amongst others, service line or geographic area, grade and gender. These subsets of the data helped to provide additional focus for action and defined action plans, supported by toolkits.

One area where the GPS provided insight was in quality, thanks to the bespoke quality index that was created.

The Netherlands quality insights for the Audit & assurance service line:

- 74% of staff responded favourably to our quality questions, for example:
 - 82% of staff agree that 'Forvis Mazars shows a commitment to ethical business decisions and conduct'
 - 72% agree that 'We deliver the outstanding quality we promise to deliver'

Governance and leadership

Leadership

Forvis Mazars has 41 external auditors registered with the AFM in 2023 / 2024 (2022 / 2023: 39), of which 26 (2022 / 2023: 26) partners and 15 (2022 / 2023: 13) directors. Forvis Mazars' appointment and remuneration policy, for both partners and directors, is aimed at promoting quality-oriented behaviour and preventing any perverted profit- / reward-driven incentives. Obviously, to attract and retain talent, an appropriate remuneration package that is in line with the market must be offered. We believe that our current remuneration / profit-sharing system is well-balanced. On the proposal of the Supervisory Board, the General Meeting of Shareholders adopted the Partners Remuneration Policy on 7 July 2021 for a period of four years.

Executive Board: propagate a quality-oriented culture

The Executive Board was appointed by the General Meeting of Shareholders based on a binding nomination by the Supervisory Board in accordance with the applicable terms of office for a four-year period as of 1 January 2021.

Our global Code of Conduct is the moral compass for our daily operations. It clearly defines who we are, what we expect from our people and how we expect them to interact with clients, stakeholders and in their social role. The behaviours mentioned in the Code of Conduct apply to all staff and partners of Forvis Mazars. The Executive Board formulated a set of criteria, which are in line with the exemplary role that can be expected from the members of the Executive Board.

By setting the right tone and exemplary behaviour in day-to-day operations, the Executive Board strives to set a good example and contributes to the creation of a quality-oriented culture.

Integrity

The Executive Board is accountable for and transparent about its own actions and ensures that these actions are in line with and can be explained in relation to its tasks, role and values.

Responsibility

The Executive Board is (ultimately) responsible for the organisation and actively fulfils this responsibility by constantly assessing and acting upon matters in which the common interest must prevail over individual interests. Where necessary, any behaviour that is not in line with the organisation's interests will be corrected.



Governance and leadership

Leadership

Diversity and respect

The Executive Board is open-minded and there is always room for opinions and views from any employee or partner. Dissenting opinions are valued, dialogue is encouraged.

Technical excellence

Providing the best technical quality is always the starting point for our own actions. Development of this within the organisation is actively encouraged and facilitated.

Independence

Where the Executive Board must manage in the best interest of the organisation, it is objective and independent in its judgement and personal or professional relationships within the organisation play no role in the decision-making process.

Stewardship

The Executive Board makes a substantial contribution to the continuity of the organisation by building lasting relationships, caring for and developing partners and employees, stimulating entrepreneurship, and working on the succession.

During 2023 / 2024, the Executive Board further shaped the quality-oriented culture through the following actions.





Governance and leadership

Leadership

Partners

At partner meetings, 'Trust through Quality' or a quality related topic is always on the agenda and we actively collaborate with the partners to disseminate the quality vision and anchor it in the organisation. Culture and behaviour are fixed components of the management team meetings in all service lines.

Organisation and employees

The Executive Board stimulates the further development of the feedback culture. In addition, the Executive Board communicates actively and frequently with the organisation in the form of news items, video messages and webinars.

Professionalism and compliance

The Executive Board continues to recruit top specialists for PPA and Compliance, quality monitoring & risk (CQR) to further professionalise quality assurance. Client and engagement acceptance procedures (refusing certain clients) are performed also at group level. The Executive Board is involved in all high-risk cases for Audit & assurance.

Talent development

The Executive Board stimulates the appointment of partners that build their career at Forvis Mazars and is open to innovation from outside through lateral hires. When appointing partners, diversity is actively considered.

One24

The Executive Board and the organisation are fully aligned in working towards achieving the goals defined in a four-year strategy. In this One24 strategy, quality and talent development have an essential place.

Partner-shareholders

Each Forvis Mazars partner is also a shareholder in the international Forvis Mazars Group via Forvis Mazars SC. In Forvis Mazars SC, agreements are made about the profit distribution within Forvis Mazars Group, among other things. Profit is distributed to countries and partners based on a predetermined number of profit points, in principle for four years. The point value of the profit points is determined based on the profit realised in a year. The determination of the number of profit points allocated is a process involving the Executive Board, the Group Executive Board (GEB) and the Supervisory Board of both the holding company in the Netherlands and Forvis Mazars Group (GGC). The Executive Board decides based on the aforementioned remuneration policy.

It is stipulated that approximately 50% of the profit before partner remuneration (surplus) of a country is mutualised. Mutualisation means that the group investments in and any support for developing countries are shared and covered out of the joint profit shares of the Forvis Mazars Group countries and that profits are allocated to the countries, and the partners there based on the resulting point value at group level.

Governance and leadership

Leadership

The 50% country profit share is distributed directly to the partners based on the national point value.

From this profit share ('aansluitingsvergoeding'), the partner must cover an employment allowance, car expenses, costs for pension provisions and disability insurance as well as other company expenses (of the individual practice company and personal holding).

Regarding the distribution of profits between the partners, the policy followed in the Netherlands is that of parity in principle. To avoid perverted profit incentives in the behaviour of partners, based on the principle that everyone can and should deliver the desired sustainable quality and effort in the same way, we believe that this system is appropriate in the public interest. For Executive Board positions, an extra remuneration of 20% for the chair and 10% for the other Executive Board members is applicable. The average profit share of a partner amounted to approximately € 427,000 last year (2022 / 2023: € 487,000).

In addition to the basic profit distribution, the Executive Board may, within the remuneration policy approved by the Supervisory Board, grant a bonus or malus of up to 10% to a partner through the Dynamic Reward System (DRS). On balance, the bonuses and maluses are divided among all partners. Exceptional positive or negative performance in the area of quality (culture and behaviour as well as technical

performance) and working capital management are possible reasons for applying DRS. For the year 2022 / 2023, a positive (DRS) amount of € 6,000 was granted based on positive quality performance and some negative DRS amounts between € 2,500 and € 5,000 were imposed for quality failures. A decision on the application of DRS for the year 2023 / 2024 will be made in the coming months.

Separate from the profit-sharing scheme, there are also provisions in internal (international) regulations that, in the event of damage to the organisation, allow for recovery of this damage from the partner. In sporadic cases, this was done in the past. In part, this scheme corresponds to the decision within the audit sector to introduce a claw back scheme.

Forvis Mazars does not have a goodwill system. There is, however, a lock step system for new partners. A linear decreasing deduction from the profit share is applied over a period of seven years. In the first year, the deduction amounts to approximately 37% of a regular normal profit share. Partners who joined before 2000 still have a fixed goodwill right that is arranged through the Stichting Vereffening Millenniumovergang and is paid out upon leaving. This is financed by all partners from their profits. It concerns a collective payment of € 1,436,997 annually.

As shareholders, the partners must contribute also to the financing of Forvis Mazars. An amount of € 25,000

per partner is contributed as share capital and share premium. In addition, an amount of € 210,000 is to be provided by the partner to Forvis Mazars in the form of subordinated interest-bearing loans. In connection with the financing of (international) (quality) investments, proposals are made at an international level each year for part of the profits to be used for this purpose. At Forvis Mazars Group level reservations are made for financing future investments.

Overall, we believe that we have a balanced package of financing and profit sharing that is appropriate for our organisation and its partners, and which supports quality investments and avoids the risk of short-term profiteering.

Directors

The external auditors / directors are all employees of Forvis Mazars. As such, they are part of the regular assessment and remuneration cycle of the entire staff. They receive an appropriate fixed salary and secondary remuneration package in line with the market. In addition, there is, in principle, a limited variable remuneration component based on performance (maximum of approximately 15% of the remuneration). An assessment system based on various parameters is used, demonstrating quality in behaviour and file quality is conditional for our bonus policy.

Governance and leadership

Leadership

Partner policy

Four new audit partners were appointed last year (previous year: three). The nomination process up to partner level includes checks on compliance with technical and professional requirements, psychological assessments, the presentation and review of the business case and more specifically, the demonstration of an appropriate understanding and conception of the role of the auditor in the public interest and the contribution that they make to Forvis Mazars as an organisation and to its clients. The Audit & assurance management team, the Executive Board, and the Supervisory Board participate in this process. After approval and nomination by Forvis

Mazars in the Netherlands, an additional review is also conducted by Forvis Mazars Group. There too, the performance and business plan are reviewed and assessed by the GGC. The final decision to appoint takes place at (partner)shareholders' meetings in the Netherlands and internationally respectively.

The performance and development of the individual partners and the team as a whole is assessed annually. This takes place via annual quality reviews (reviews, continuing professional education obligations, signals, etc.) and corresponding ratings from CQR, as well as assessment and development meetings between the individual partners and the Executive Board. In these discussions, individual points for improvement

and development are also agreed upon, as well as any training requirements. As a learning organisation and partner team, we are transparent to each other about the quality delivered and desired and we facilitate and support partners in achieving and maintaining this quality.

Repeated failure to deliver, or be able to deliver the desired quality, failure to demonstrate improvement, or a deliberate breach of fundamental values and regulations as a partner, will result in a different situation. In such cases, it is concluded that continuing the cooperation is no longer responsible or desirable. Termination of the agreement is then the result.



Governance and leadership

Key facts and figures Forvis Mazars in the Netherlands

9

Offices

44.5%

Derived from audit & assurance engagements

62

Partners

7.7%

Increase in turnover compared to 2022 / 2023

1,411¹

Professionals

19

Monitoring reviews
Internal / external

165.3

mIn euro

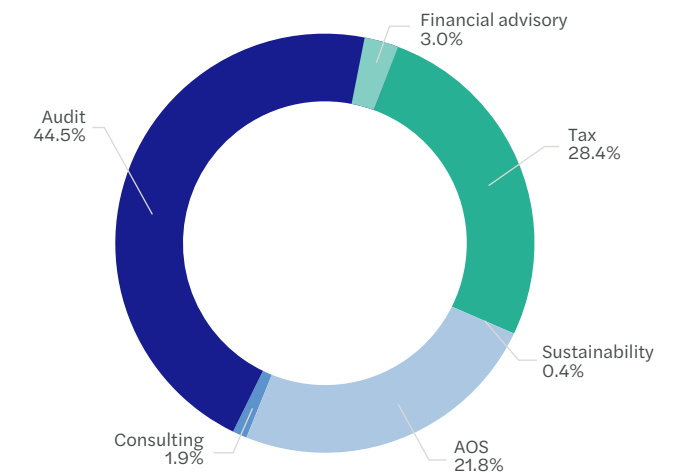
Turnover 2023 / 2024

¹This includes trainees and external temporary contract workers.



• Offices in the Netherlands

Turnover by service line



Governance and leadership

Key facts and figures Forvis Mazars in the Netherlands

Forvis Mazars' total turnover in the Netherlands increased from € 153.4 million in 2022 / 2023 to € 165.3 million in 2023 / 2024.

The turnover is composed as follows:

Amounts in € million	2023 / 2024	2022 / 2023
Statutory audit	52.3	46.7
Other assurance	21.3	21.8
Accounting and outsourcing	35.9	34.2
Tax services	46.9	42.9
Other services	8.9	7.8
Total	165.3	153.4

A further breakdown into statutory audit engagements (PIE and non-PIE) and other services is as follows:

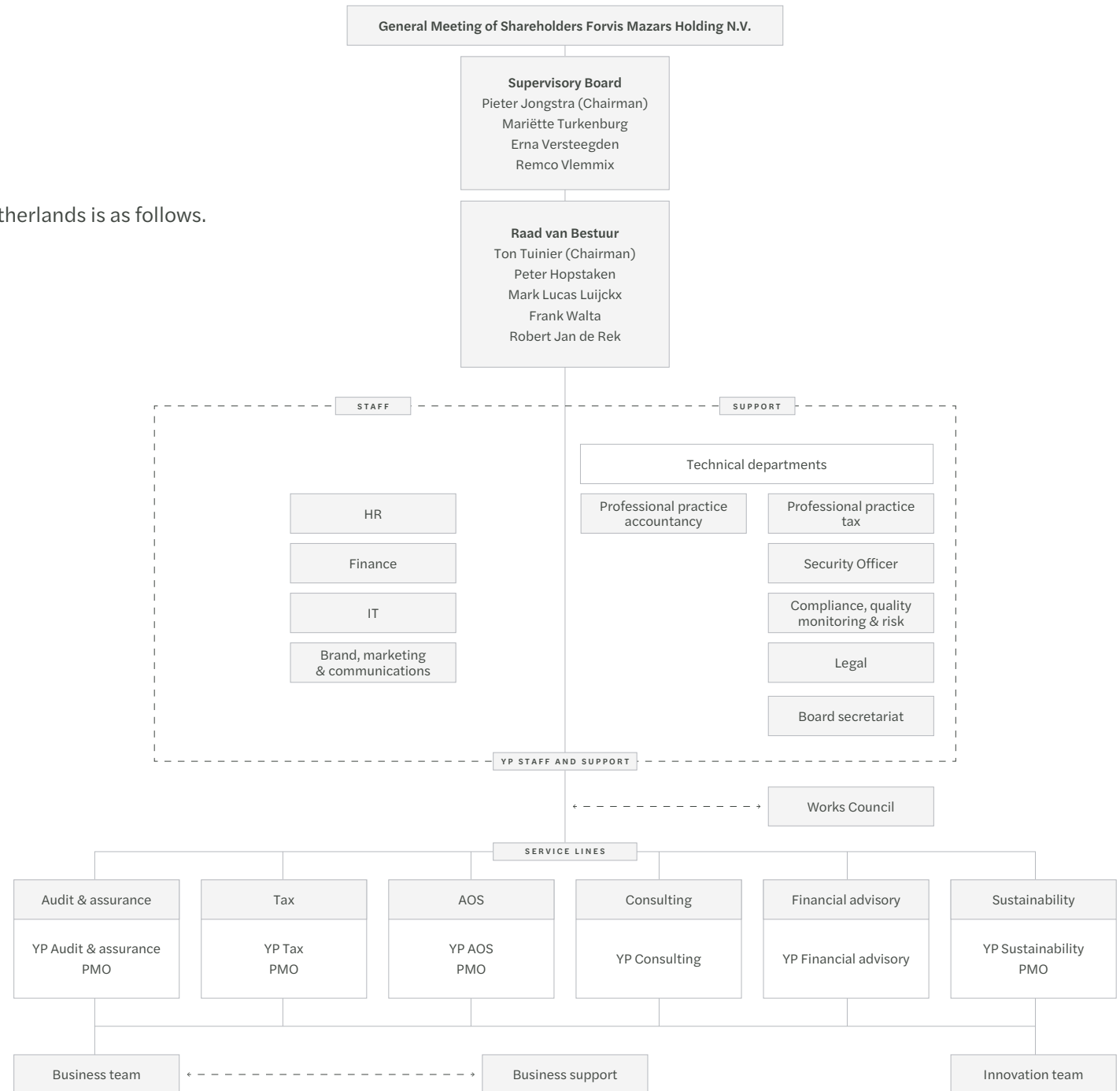
Amounts in € million	2023 / 2024	2022 / 2023
Statutory audit PIE	9.1	10.5
Statutory audit non PIE	43.2	36.2
Total statutory audit	52.3	46.7
Other assurance engagements PIE audit clients	0.4	0.1
Other assurance engagements non-PIE statutory audit (Wta) clients	1.6	3.6
Other services for non-PIE statutory audit (Wta) clients	4.2	5.0
Other non statutory audit (Wta) client services	106.8	98.0
Total	165.3	153.4



Governance and leadership

Organisational structure

The organisational structure of Forvis Mazars in the Netherlands is as follows.



Governance and leadership

Organisational structure

General Meeting of Shareholders

The General Meeting of Shareholders of Forvis Mazars Holding N.V. (hereinafter: Forvis Mazars Holding) is the highest body within the Forvis Mazars organisation. Resolutions at the General Meeting of Shareholders are generally passed by a majority vote. Certain topics are subject to an absolute or qualified majority of votes and/or a binding recommendation from the Supervisory Board.

Supervisory Board

The Supervisory Board supervises policies pursued by the Executive Board. The Supervisory Board is responsible for making a binding nomination for the members of the Executive Board and determines their remuneration. The Supervisory Board consults with the Group governance bodies and takes into consideration the Group policies. Approval by the Supervisory Board is a requirement for the appointment of partners and external auditors. Also the remunerations policy of the partners is a prerogative of the Supervisory Board. Although tasked with the supervision of the entire Dutch organisation and thus all service lines, special focus is required by law for the quality, appointment and remuneration policy within the Audit & assurance service line. This includes contact with the regulator.

Executive Board

Forvis Mazars is managed by the Executive Board of Forvis Mazars Holding, which is responsible for strategy and policy. The Executive Board reports on its policy to the General Meeting of Shareholders. The current Executive Board was appointed in January 2021 for a period of four years.

Partner-shareholders

Our partners are responsible for the quality of the engagements performed under their responsibility. In the past year, 62 partner-shareholders were associated with Forvis Mazars Holding.

Professional practice accountancy

The Professional practice accountancy department plays an important role in supporting our professionals, including those in the Audit & assurance service line, regarding Audit & Assurance, Financial reporting and Ethics.

PPA reports to the member of the Forvis Mazars Holding Executive Board who is Head of Audit.

Compliance, quality monitoring & risk

The compliance officer is supported in his daily activities (operationally) by the Compliance, quality monitoring & risk department. CQR also fulfils an important role in the context of risk management and support for internal quality audits.

Board of Forvis Mazars Accountants N.V.

The Board of Forvis Mazars Accountants N.V. (hereinafter: Forvis Mazars Accountants) consisted of the following members in the past year:

- Ton Tuinier - Chairman / Statutory director
- Peter Hopstaken - Statutory director

Anton Dieleman (Director Professional Practice Accountancy) is also a member of the Management Board of Forvis Mazars Accountants.

Audit & assurance management team

A management team is active per service line and is responsible for the operational translation and implementation of the management policy for that specific service line. The Audit & assurance management team consists of five audit partners, chaired by the member of the Executive Board responsible for the Audit & assurance service line.

Young professionals board (YP)

Audit & assurance

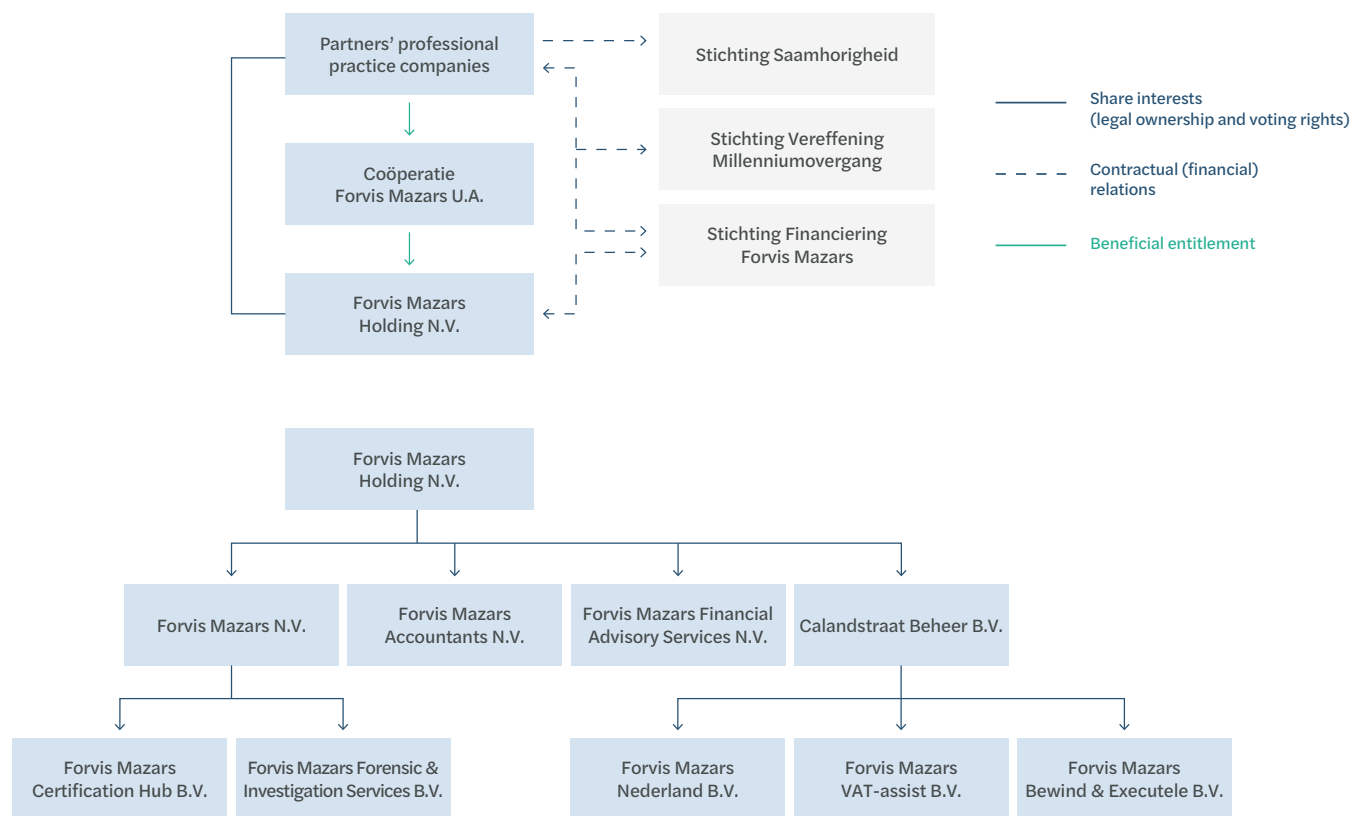
The Young professionals board Audit & assurance is a representation of the employees up to the position of junior manager. They act as a sounding board between the service line and the Audit & assurance management team.

Governance and leadership

Organisational structure

Corporate structure

An overview of the corporate structure of Forvis Mazars in the Netherlands is shown below. Some relevant group companies are briefly explained in this chapter.





Forvis Mazars Accountants N.V.

Forvis Mazars Accountants N.V. is licensed to perform statutory audits in the Wta-domain (including PIEs). Forvis Mazars Accountants N.V. has no staff. Employees (external auditors and other staff) are on the Forvis Mazars N.V. payroll and are hired from Forvis Mazars N.V. based on a service level agreement with Forvis Mazars Accountants N.V. Partners are made available to Forvis Mazars Accountants N.V. on the basis of agreements between Forvis Mazars Holding N.V. and their professional practice companies.

The sole shareholder of Forvis Mazars Accountants N.V. is Forvis Mazars Holding N.V. The bare legal ownership of the shares in Forvis Mazars Holding N.V. is held by the partners' professional practice companies. However, the economic ownership of the shares accrues to the Coöperatie Forvis Mazars U.A. (hereinafter: 'the Coöperatie').

The Coöperatie's function is to prevent any tax disadvantages in the event of a potential future sale or restructuring of the shares in Forvis Mazars Holding N.V.; the Coöperatie does not hold any voting rights (legal control).

Stichting Vereffening Millenniumovergang

Stichting Vereffening Millenniumovergang (hereinafter: SVM) regulates the rights of the partners who paid goodwill (mainly for partners joining prior to 2000).

These so-called goodwill partners receive a total amount of € 453,000 spread over a period of four years after their resignation as partner (no later than at the end of the year in which they reach the age of 65).

Forvis Mazars Holding N.V. holds no interest and has no control in SVM.

SVM is funded annually from the result of Forvis Mazars Holding N.V. The first 10% of the total result up to a maximum amount of € 1,436,997 (which includes interest amounts) is charged to the partner affiliation fee of the partners' professional practice companies to finance SVM in which they are the participants.

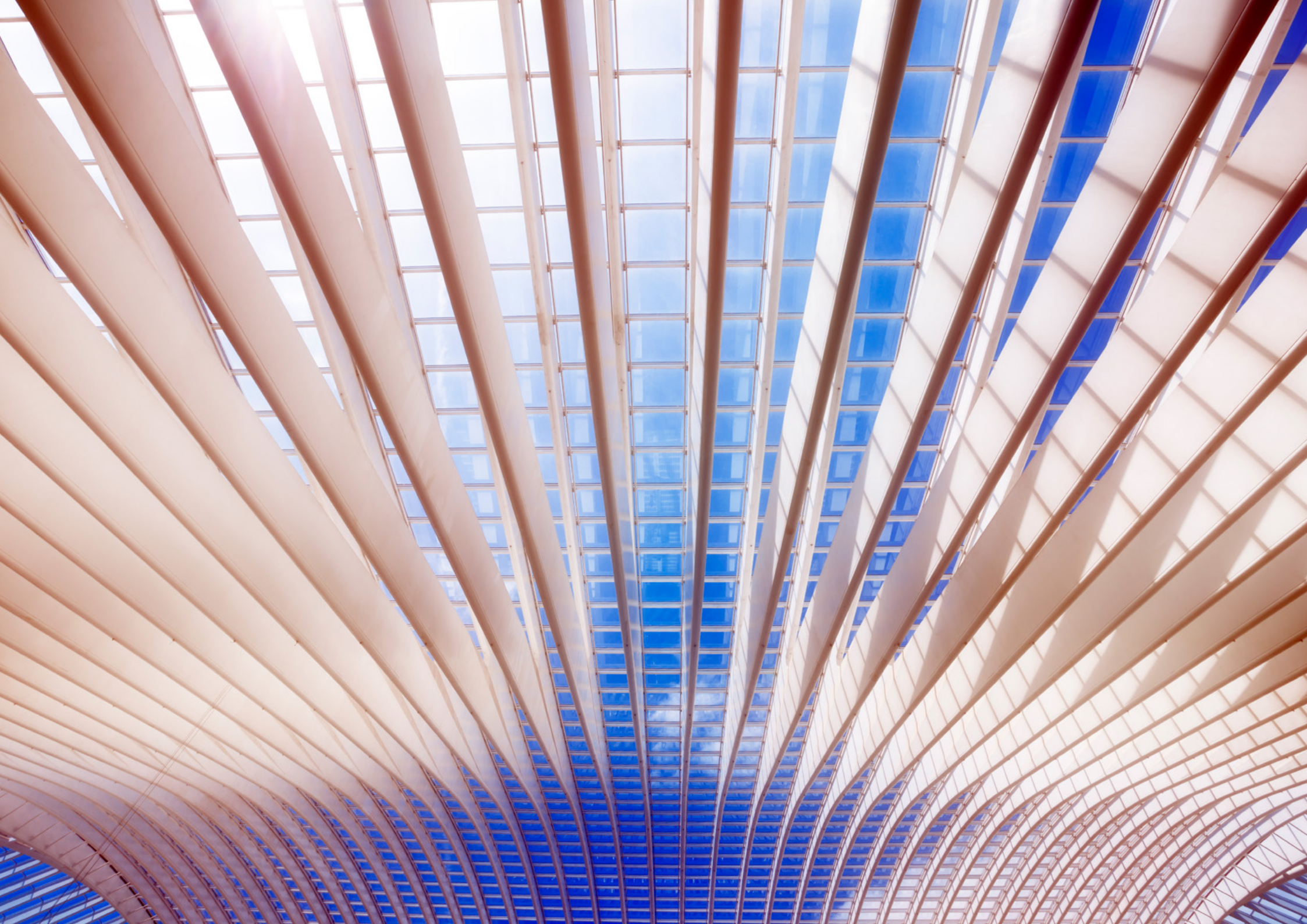
Stichting Financiering Forvis Mazars

Stichting Financiering Forvis Mazars (hereinafter: Stichting Financiering) is a transparent foundation in which the participants are the partners' professional practice companies. Stichting Financiering was established to provide representation for the partners' professional practice companies as a whole in the event of bankruptcy (or similar situations).

Stichting Financiering has no capital of its own and its annual result is zero. Both the cash flows from partner financing and the cash flows related to (the advance payments of) the partner affiliation fee are arranged through Stichting Financiering.

Stichting Saamhorigheid

Stichting Saamhorigheid was incorporated to arrange for an annual allowance for the surviving life partner should a partner decease before the retirement age. In 2019 this arrangement was replaced by a collective life insurance policy. However, Stichting Saamhorigheid shall continue its activities until its current payment obligations are settled. Stichting Saamhorigheid is financed by an annual contribution from the partners' professional practice companies.





Governance and leadership

Forvis Mazars Global

On 1 June 2024 Forvis Mazars² launched as a new global network. We are a leading provider of audit and assurance, tax, advisory and consulting services worldwide, and the largest new entrant into the global rankings in decades.

With a global outlook to see the big picture and the local knowledge to understand it, we combine scale, capacity and coverage with agility, deep insight and a personal approach. We are committed to building our clients' confidence to prepare for what's next by putting quality, integrity and technical excellence at the core of what we do.

In numbers

Top 10	global network ³
\$5bn+	combined revenue ⁴
100+	combined countries and territories
400+	combined offices
40,000+	combined employees
1,800+	combined partners

Forvis Mazars explained

The Forvis Mazars network (Forvis Mazars Global Limited) is a leading global professional services network operating under a single brand with just two independent members:

- Forvis Mazars Group SC (formerly Mazars Group SC), an internationally integrated partnership operating in over 100 countries and territories
- Forvis Mazars, LLP (formerly FORVIS LLP) in the United States.

The network is governed through a structure that includes a Global Network Board, which is chaired by Hervé Hélias (Chairman, Forvis Mazars Group), with Matt Snow (Chairman Forvis Mazars, LLP) serving as Vice Chair. The Global Network Board is made up of representatives from both members⁵.

² Forvis Mazars is the brand name for the Forvis Mazars global network (Forvis Mazars Global Limited) and its two independent members: Forvis Mazars Group SC, an internationally integrated partnership operating in over 100 countries and territories, and Forvis Mazars, LLP in the United States.

³ Source: IAB World Network rankings 2023.

⁴ Forvis Mazars Group: \$3.251bn, Forvis Mazars, LLP \$1.939bn.

⁵ For more information, see Our leaders – [Forvis Mazars Global](#).

Governance and leadership

Forvis Mazars Global

The two members remain owned by their respective partnerships and are governed by their own leadership teams and boards.

Forvis Mazars Group SC

Forvis Mazars Group SC ('the Group') is a cooperative entity incorporated in Belgium. Since 1995, it has been organised as an international, integrated partnership – working under one Group Executive Board and sharing the same values, strategy, work ethic and goal of providing the highest quality services to our stakeholders.

The Group operates in over 100 countries and territories through member firms comprised of one or more separate legal entities. Up to 1 June 2024, this included a member firm in the United States of America, which, following the launch of the Forvis Mazars global network, became part of Forvis Mazars, LLP.

All partners are shareholders in their member firm and in Forvis Mazars Group SC.

For more information, visit the [Forvis Mazars Group website](#).

Forvis Mazars, LLP

Forvis Mazars, LLP is ranked among the largest public accounting firms in the United States. The firm's 7,000 dedicated team members provide an Unmatched Client Experience® through the delivery of assurance, tax and consulting services for clients in all 50 states and internationally through the global network.

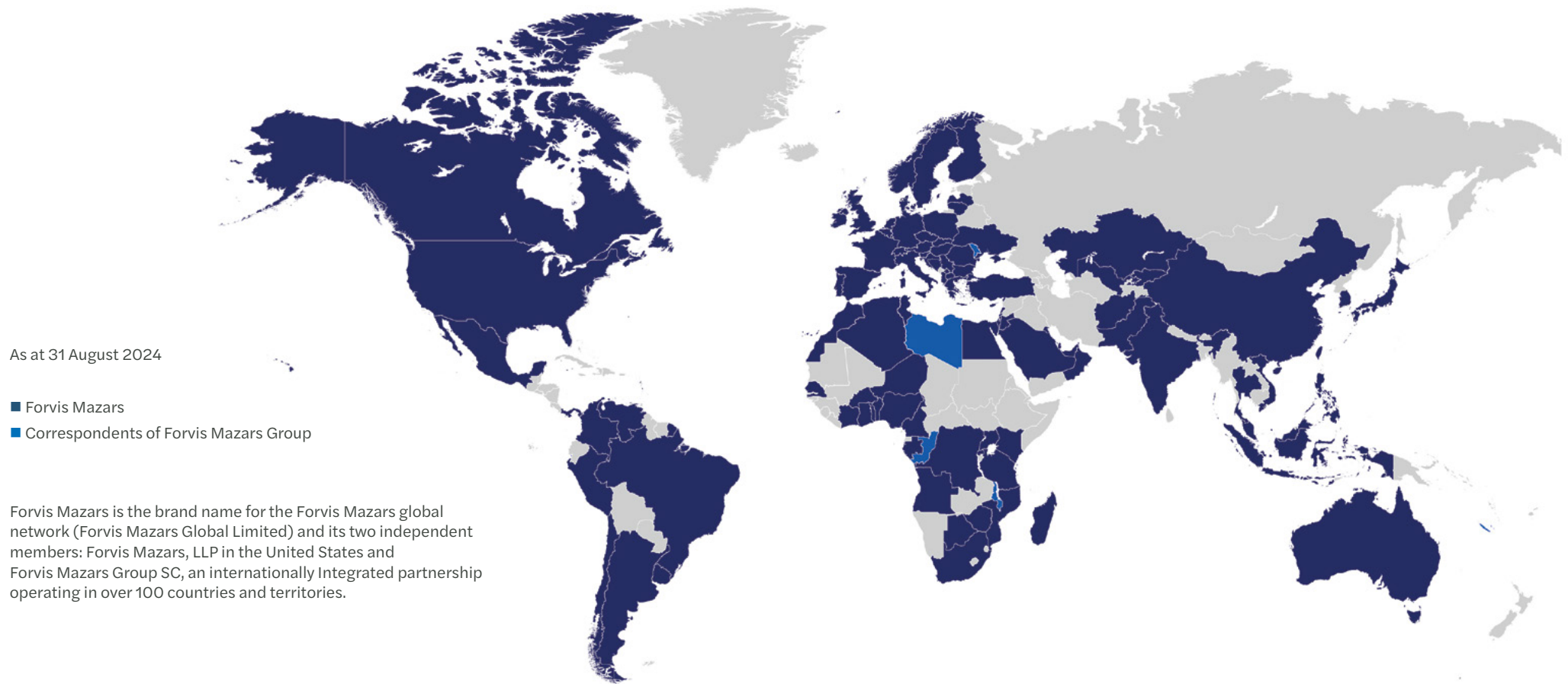
For more information, visit the [Forvis Mazars, LLP website](#).



Governance and leadership

Forvis Mazars Global

Our 40,000+ strong team is committed to providing a different perspective and delivering an unmatched client experience across the globe, throughout the more than 100 countries and territories where we operate.



Governance and leadership

Forvis Mazars Group

Forvis Mazars Group works as one integrated, international team, leveraging its collective expertise, scale and cultural understanding to deliver exceptional and tailored services that help the clients of its member firms make the most of opportunities, operate with transparency and grow responsibly.

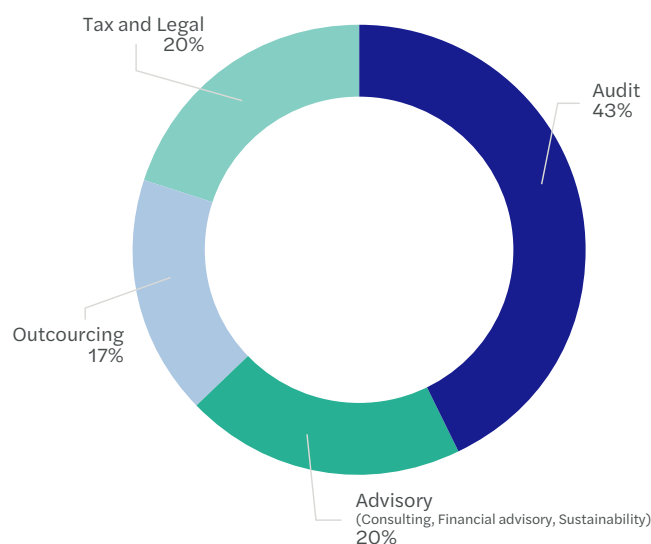
Key facts and figures

The 2023 / 2024 performance of the Group confirms the strength of its international growth strategy, as well as the quality and relevance of the multidisciplinary model, as it continues to build its international ambition.

In numbers

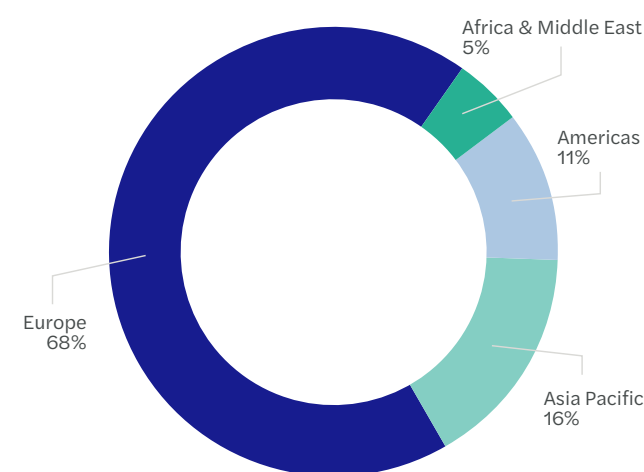
1	international integrated partnership
€3bn+	fee income ⁶
11.4%	year-on-year growth
1,200+	Forvis Mazars Group SC partners
36,000+	professionals
2,250+	public interest entity audit clients ⁷
€567.4m	combined turnover of EU statutory audit fees ⁸

Turnover by service line*



*Excludes the Zhong Shen Zhong Huan practice

Turnover by region*



*Includes the Zhong Shen Zhong Huan practice

⁶ Fee income covers the period of 1 September 2023 to 31 August 2024.

⁷ Excludes the Zhong Shen Zhong Huan practice.

⁸ The combined turnover from statutory auditors of Forvis Mazars Group SC EEA member state audit firms in 2023 / 2024.

This represents the turnover from each entity's most recent financial year converted to Euros at the exchange rate prevailing as of 31 August 2024.

Governance and leadership

Forvis Mazars Group

Group leadership

The Group is an integrated organisation of professionals, sharing commitments at an international level with respect to investment in technical excellence, serving clients, developing teams and creating shared value.

As a shareholder of Forvis Mazars Group SC, Group partners acknowledge the internal rules (charter of association) and other institutional documents and policies that govern the Group. This allows them to vote at the General Assembly of Partners – a key decision-making process in the Group's leadership and governance bodies. As such, its governance structure is based on a democratic and transparent model, where each partner has a say on strategic decisions about the future of the partnership.

Group Executive Board

The GEB is Forvis Mazars' executive body. It is responsible for the operational management of the partnership with regards to collectively defined strategic objectives, under the supervision of the GGC. It focuses on pursuing and accelerating growth while ensuring the quality and sustainability of our activities. The chair and other members of the GEB are elected by the General Assembly of Partners for a four-year term. The mandate of the current GEB started in December 2020, with the next GEB elections due in December 2024. As of 31 August 2024, Forvis Mazars' GEB comprised 11 members. The chairman of the

Executive Board of Forvis Mazars in the Netherlands, Ton Tuinier, is a member of the GEB.

Each GEB member is entrusted with specific geographical responsibilities, functional roles and/or the oversight of strategic projects, such as innovation, quality and risk management (Q&RM), business development or corporate sustainability.

Group Governance Council

The GGC is the Group's supervisory body. Elected for the same four-year term as the GEB, the GGC exercises a general supervisory function over the risk and operational management actions of the GEB. As set out in the partnership's charter of association, the GGC's specific responsibilities include:

- Monitoring and updating the legal obligations of partners and member firms
- Approving partnership candidates and external growth operations
- Assessing GEB members and determining their compensation
- Approving disciplinary action decided by the GEB

To facilitate the efficiency and focus of its oversight, the GGC is organised into risk, partnership development and remuneration subcommittees.

Since 2011, it has included independent external members. The current GGC was elected in 2020,

and the next elections are due in December 2024. As of 31 August 2024, the GGC comprised 10 members, including two external independent members.

Our global system of quality management

Our Group system of quality management (SoQM) framework is the foundation for quality. It outlines what is expected of member firms and explains how all partners and staff members contribute to the delivery of quality.

Minimum quality management standards are set by the Group in Group policy manuals. Member firms must design, implement and operate a local quality system or framework which is based on the Group requirements, includes additional local requirements and mitigates identified quality risks.

Governance and leadership

Forvis Mazars Group

ISQM1

To provide a consistent, robust, proactive and effective approach to quality management, the Group uses a consistent system of quality management (SoQM) structure aligned with the requirements of the International Standard on Quality Management 1 (ISQM1). The key elements of the framework are summarised on the right. This system is supported by an innovative Group tool which facilitates the integration of the SoQM components while allowing member firms to make local adjustments as needed.

This Transparency Report describes how Forvis Mazars in the Netherlands effectively operates each of these elements.

Forvis Mazars Group’s system of quality management



Relevant ethical requirements

Independence and Integrity

Important basis for our profession

Independence is an important principle for performing statutory, non-statutory audits and other assurance engagements. We have a balanced system of procedures and guidelines to ensure independence:

- Every partner and employee completes an annual independence declaration in which he/she declares to comply with the independence provisions; compliance with the integrity code is part of the annual independence declaration.
- The following requirements apply to every assurance engagement:
 - Each team member signs an independence declaration for the respective engagement.
 - Upon acceptance and continuation of the engagement and during the evaluation, an independence check is performed.
- Independence issues can be submitted to PPA for consultation and in case of non-compliance with independence regulations consultation with PPA is mandatory.

Independence monitoring is embedded in our system as follows:

- CQR monitors independence upon acceptance and continuation of statutory audit engagements.
- For engagements in the SEC domain (listed funds), an annual independence declaration is required by team members and persons in a hierarchical

relationship with the team, performing quality reviews or providing technical advice.

- The engagement quality control reviewer supervises the performance of the assurance engagement in accordance with all relevant regulations, including independence.
- The final element of quality control is formed by internal quality reviews and in some years thematic reviews (last mentioned can cover independence issues).
- The Compliance Officer periodically monitors partners' compliance with the investment policy.

International network

Forvis Mazars Group has adopted the international Code of Conduct for Objectivity and Independence (CCOI). The consequences for us are limited. In the Netherlands, due to the ViO (Dutch Code of Independence) in combination with the EU regulation, a more strict set of rules and regulations is applicable. Any new CCOI provisions that go beyond the Dutch regulations are incorporated in the next edition of our manual. Within Forvis Mazars worldwide, conflict check procedures apply to determine the acceptability of engagements. To this end, a global tool (WeCheck) is in place to facilitate the conflict check process. Furthermore during 2023 / 2024 the client and engagement acceptance and continuance procedures have been integrated in our 'know-your-client' software applications.





Relevant ethical requirements

Independence and Integrity

EU Regulation

Based on Article 17(7) of the EU Regulation on statutory audits of PIEs, our policy is as follows:

- External auditors of PIEs shall rotate after a maximum period of five years.
- Engagement quality control reviewers in audit engagements of PIEs shall terminate their role after a maximum period of seven years.
- The same seven-year period applies to key assurance partners of subsidiaries under the said EU Regulation.
- A risk-oriented approach applies to other senior staff. Rotation is mandatory if after seven years (or earlier) a threat exists that cannot be eliminated by other measures.
- Mitigating measures that are taken into consideration include the rotation of the (ultimately) responsible external auditor. The maximum period of involvement of these most senior persons is ten years (also the maximum period of involvement of the audit firm).

New ViO provisions

Following the new standard on group audits the Dutch Code of Ethics has been updated, having among others effect for audits of financial statements 2024. The audit teams have been informed about these new ViO provisions; especially regarding the independence responsibilities of component auditors.

Evaluation

Within the framework of the evaluation of the independence process, the following is relevant:

- The yearly independence declarations did not reveal any violations of the independence regulations.
- During the year 2023 / 2024 in some cases on voluntary or mandatory basis engagement teams submitted independence cases to PPA. This relates mainly to the performing of non-assurance services in conjunction with an audit engagement, which in some cases requires additional safeguards to reduce the independence threats to an acceptable level.
- If necessary PPA is consulted on specific independence situations at the request of CQR of the engagement quality control reviewer.

Relevant ethical requirements

Information security and privacy

Taking appropriate security measures in order to guarantee the confidentiality, integrity and availability of company and client data is the starting point when it comes to information security. The effectiveness of the measures implemented is monitored. We monitor the effectiveness of the measures implemented in order to assess whether additional measures need to be taken and how we should communicate about this internally with partners and employees.

We believe that the security of our information systems and the storage and processing of our clients', partners' and employees' data is at an adequate level. Processes and procedures have been implemented to ensure that potential security incidents are followed up in a timely manner and, where possible, prevented or the impact mitigated. Since June 2023 we have an ISO 27001 certification.

In line with previous years, the number of phishing attacks remains at a high level. All reports of phishing are thoroughly investigated and additional measures are taken where necessary. Partners and employees are trained to recognise phishing attacks through the Security Awareness training programme. During the past year we were faced with four incidents as a result of phishing that have been detected and remediated in time without any data breach.

Remote working and working from home bring additional security risks. Partners and employees have been informed through multiple channels and it has been pointed out to them how they can contribute to a safe way of working. The security at and around the

workplaces has been tightened on various fronts, with a good balance between functionality and security.

The number of recorded security incidents for 2023 / 2024 is six (previous year: eight).

Security incidents are defined as follows:

- Incidents in which partners or employees have become victims of phishing
- Incidents in which partners or staff have been victims of stolen laptops or mobile phones
- Incidents where third parties have gained access to our IT systems and/or data in another way

None of these six incidents led to a report to the Authority for the Protection of Personal Data. Additional steps have been taken to increase awareness of this issue within the relevant teams.

Relevant ethical requirements (Disciplinary) complaints, claims and whistleblower reports

The number of (disciplinary) complaints, claims and whistleblower reports filed against Forvis Mazars Accountants and its external auditors is as follows:

	2023 / 2024	2022 / 2023
Disciplinary complaints	1	0
Other complaints / claims	3	2
Whistleblowing reports	0	2

During 2023 / 2024 the disciplinary complaint is related to a complaint of the regulator to a former external auditor of Forvis Mazars due to audit failures in the statutory audit of a former client. The disciplinary court ('Accountantskamer') imposed after the balance sheet date the measure of suspension for the period of one month against the external auditor. The external auditor did not appeal against this measure of the disciplinary court.

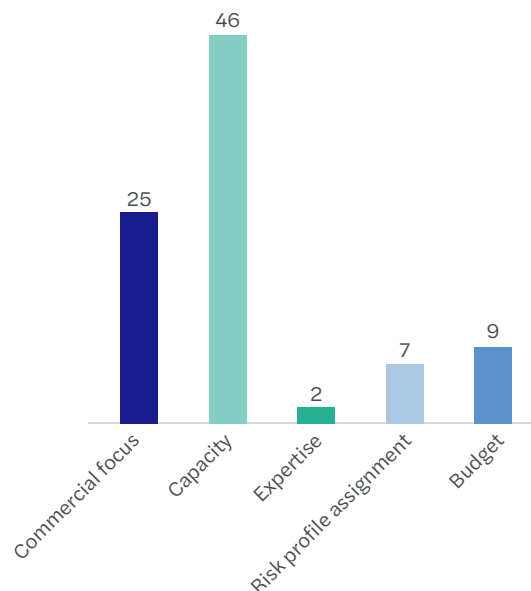
The other complaints relate to a statutory audit regarding the 2018 audit of the financial statements of a previous PIE client of Forvis Mazars. The complaint has been brought before a court in Belgium. This legal procedure has been postponed recently for several years. In addition, a long-running claim for a possible liability following a ruling by the disciplinary court ('Accountantskamer'). And finally, a long-running procedure as a result of conflicts in the shareholder sphere of a client.

During 2023 / 2024 no signals have been reported via our whistleblowing procedure.

Acceptance and continuance of clients and engagements

Proposals rejected and main reasons

205 Total submitted
116 Number of go's
89 Number of no-go's



The number of prospects is higher than last year (205 and 196 respectively). The percentage of no-go's is considerably lower than in the previous year, 43% versus 53%. The main reasons for rejecting proposals are to capacity constraints at Forvis Mazars or no commercial focus on the sector of the prospect.

Termination of client relationship

Approximately 6.2% (2022 / 2023: 7.15%) of the audit engagements have been terminated this year (total fee value € 4.5 million). Of these, 48% (2022 / 2023: 22%) have been terminated by the client and 52% by Forvis Mazars (2022 / 2023: 78%). The terminations by client also include cases such as mandatory rotation or due to a merger or acquisition of the company. The main reasons for termination were client's mandatory rotation and no agreement on the increase in fee quote.

Intensive monitoring of portfolio composition

The staffing of teams remains a high priority. In the integrated quality and culture plan several projects are included to analyse and improve the staffing of teams.

Team capacity and clients of a sufficient basic level (it involves issues such as internal management environment, budget and delivery data based on the prepared by client list) have proven to be minimal prerequisites. It is also important to gain insight into the spread over time and possible 'pressure' within certain portfolios (both at team level and for the engagement partner). Our process of portfolio analysis focuses on resolving these issues.

Quality measures imposed

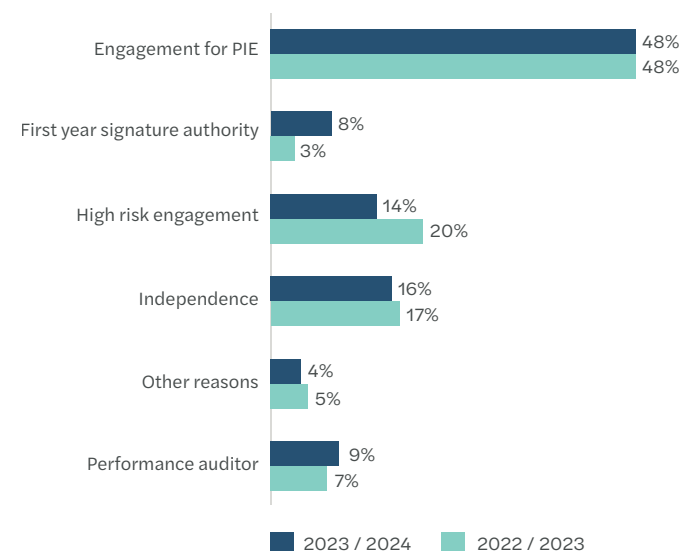
The allocation of quality measures to audit engagements can be motivated by different aspects

such as the fact that an audit engagement is performed for a PIE or, for engagements outside the PIE domain, for example, a long-term involvement of the external auditor without (mandatory) rotation or an audit engagement that is assessed as high risk.

Below a more detailed breakdown is included showing the reasons why an EQCR or other quality measures were allocated to audit engagements.

Annually, the results of quality reviews and other signals are taken into account in the performance of the external auditors. Depending on the outcome, this may lead to additional quality measures.

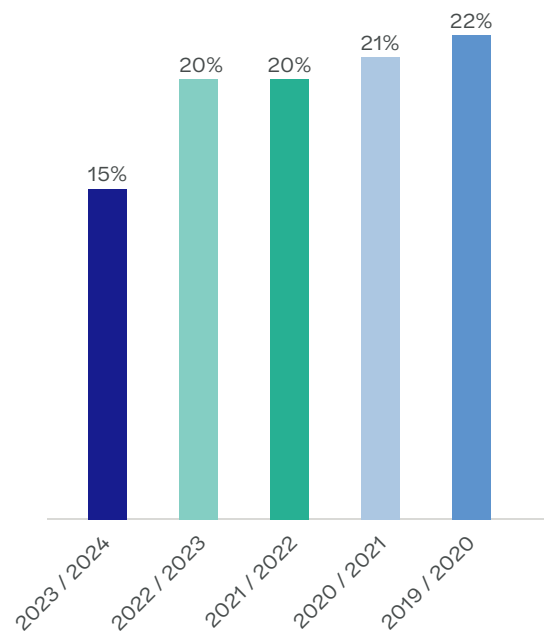
Reason for quality measures



Acceptance and continuance of clients and engagements

Based on the number of statutory audit engagements an EQCR was completed for 15% of these engagements (2022 / 2023: 20%).

Completed measures EQCR statutory audit





Resources

Quality requires investing in people

In order to realise our strategy, we collaborate with people who are willing to grow. To recruit and retain the right employee, we invest in the best candidate and employee experience.

Talent management policy

Talent management at Forvis Mazars means the opportunity to develop. People are encouraged to contribute from their own purpose to the collective objectives, improve and expand competences and make use of their own talents. Talent development means that employees can develop to their full professional and personal potential. Attention is paid not only to areas for improvement, but also the development of strengths. It is about making the most of one's qualities whilst being appreciated as a person. Talent development is facilitated in our performance management cycle in which managers are encouraged to have regular conversations with their team members about goals, behaviour, work-life balance, training, etc.

Resources

Staffing

New professionals follow an induction programme in which extensive attention is paid to the values (Forvis Mazars Code of Conduct) and the culture of our organisation. This applies to all job levels. During the recruitment and selection process, new employees go through a personality assessment and an aptitude test to monitor the quality of the intake. New experienced professionals go through an appointment procedure upon joining Forvis Mazars in order to meet the quality requirements within Forvis Mazars. In this way, we create uniformity between the employees who already work at Forvis Mazars and those who join from another organisation. We wish to be a solid employer, where a diversity of people enjoy working and can develop further in a quality-driven environment, with the focus on our role in society.

	Inflow	Outflow
2023 / 2024	121	74
2022 / 2023	106	71

We are proud of the fact that we have managed to attract a large number of new colleagues. In addition, we are pleased that we managed to stabilise the outflow, which shows that our policy on retention pays off.

The composition (in numbers) of the professionals working for Forvis Mazars Accountants is as follows:

	31-8-2024	31-8-2023
Partner	29	26
Director	18	17
Senior manager	37	28
Manager	21	22
Other	291	262
Total	396	355

We see a firm increase in growth. This means that we are successful in recruiting and retaining professionals (starters, young professionals and senior professionals) in a market where demand exceeds supply. Although we are proud of this growth, there is still a gap between the business needs in projects and the resources available. This year we hired 27 external temporary contract workers which is seven less than in 2022 / 2023. We have mixed feelings about the phenomenon of hiring external temporary contract workers because we prefer to invest in a short-term relationship rather than just short term, sometimes one off, assignment but we are also happy to welcome them for a specific assignment. Due to upcoming enforcement of legislation we need to reduce the number of external temporary contract workers next year. Other resources stem from our collaboration with and outsourcing to Group service centres in Morocco, Croatia and South-Africa on various assignments.

The average number of years that an employee works within the Audit & assurance service line, split into partners, directors, (senior) managers and other employees, is as follows:

	2023 / 2024	2022 / 2023
Partner	10.16	11.24
Director	8.31	7.65
(Senior) manager	6.3	7.87
Other	2.76	2.7
Total average	4.36	5.66

Last year, one new partner started, four directors were promoted to partner and two partners left audit, which reduced the average number of years of a partner with the firm. Only one director joined and five senior managers were promoted to director. Our group of directors is very stable with little to no outflow which explains the increase of years within the firm. Furthermore, we had some outflow of experienced senior managers and more inflow to the level of manager by promotions and recruitment which explains the decrease of years at the firm at that level.



Resources Development

Core competences

Our development programmes are aimed at developing one or more of these six core competences:

Delivering technical excellence

Managing for results

Building client relationships

Leading teams and people

Developing business

Working together for success

Crucial for a sustainable organisation is having the right people in the right place; key positions are obviously important here, but also broadly deploying the quality that is available. We do this by recognising and retaining talent and developing management potential. Every year, the talent population is reassessed throughout the organisation, by assigning a potential score to each employee which is transparent for the employee. This provides insight into which employees hold high potential. For these high potentials, we offer a talent training programme every other year. In 2023 / 2024, one new group started this talent training programme.

Promotion and appointment policy

Professional knowledge and experience, a professional-critical attitude, quality of work, productivity and leadership skills are the crucial elements in assessing whether an employee is eligible for promotion or appointment. Components of this procedure may include a technical examination, input from an external expert or an assessment report, a self-assessment and a portfolio of the employee's objectives. These insights are combined in the appointment interview for internal as well as external candidates. In 2023 / 2024 nine managers, eleven senior managers and five directors were appointed internally. Externally seven managers, four senior managers and one director were also appointed with the same process. Newly appointed managers, senior managers, directors and salary partners are invited to participate in the induction programme which is a leadership programme for all service lines focusing not only on professional skills but also on personal development, reflection and resilience.

Resources

Training

Quality and integrated cooperation are paramount in everything we do. The Forvis Mazars School of Excellence has a high quality training policy and offer. Employees can take training courses in three ways: via the range of courses offered in the Forvis Mazars training programme, at their own request with individual training objectives, and on the advice of their manager. In addition to professional training courses for continuing education, an extensive training programme is available aimed at the broad development of core competencies and skills. The individual learning objective is the focus of interactive learning forms, thus better guaranteeing the transition from learning to practice. Every employee has access to a very extensive database of e-learnings on a wide range of subjects. This allows employees to better meet their individual learning needs.

Programme structure

Our Dutch training programme is in line with the international one. The training programme is built on the same four pillars, which are also used internationally. The four pillars are:

Induction

Technical skills

Leadership

Business development

For each job level, we offer appropriate learning opportunities for the employees within the various service lines. In recent years, much time has been invested by (senior) managers, directors and partners in developing professional training courses. This results in a high-quality professional training programme performed by our own teachers. All employees of the Audit & assurance service line participate in this training programme.

Record, register and evaluate

The learning management system records which training courses each employee attended and the time spent on each course. We also use this to determine whether each individual has completed the compulsory training programme.

A few years ago the NBA changed the legislation regarding continuing professional education for accountants. This has led to a switch from an input based system to an output based system. Based on this new system every accountant prepares a yearly portfolio on continuing professional education. Before the year starts each accountant prepares a planning of his or her training topics which is included in the portfolio document. At the end of the year the portfolio document is completed with all continuing education activities and approved by the responsible partner of every accountant. The continuing education performance is registered at the NBA.

Training and education Audit & assurance	2023 / 2024	2022 / 2023
Total investment in training and education*	€ 3,116,528	€ 2,572,733
Average investment in training and education per employee (in euros)*	€ 7,640	€ 7,372
Total hours spent on training and education (internal and external)**	88,154	73,503
Average hours of training and education per employee**	229	211
Hours preparing and delivering training (internal and external)**	3,572	2,566

* Refers to external training and study costs

** Hours of internal / external training and study

Resources

Assessment and remuneration

Assessing and rewarding employees is of great importance when working in a quality-oriented culture.

Assessment

The performance management cycle within Forvis Mazars starts in September by setting targets for each employee. During the year the employee has several meetings with the manager / partner to evaluate his / her performance, targets, training, well-being, etc. In January a formal development meeting is scheduled for every employee. Forvis Mazars embraces continuous feedback to help people develop and the organisation grow. That's why peer feedback and upward feedback is part of the performance management cycle. Special sessions are held to train our employees to give real time feedback which can be used as input for the development meetings. At the end of the performance management cycle, employees are formally evaluated (in May). During round table sessions performance of employees is calibrated by managers and partners.

Job evaluation forms and upward job evaluation forms are the input for these round tables. The output of the round table will be discussed with the employee in July during the annual appraisal. The performance score as well as the potential score are shared with each employee. The potential score indicates to what extent the employee can grow and at which time.

Remuneration

Quality is the guiding principle for a salary increase, which means that if the performance score is insufficient, an employee is not eligible for a salary increase. Salary increases are based on a salary matrix. The variable remuneration for managers and higher ranking staff is determined in the assessment round. Quality, culture and conduct are the key drivers for awarding a variable bonus. Employees under manager level may be eligible for variable remuneration throughout the year if an exceptional performance has been achieved that contributes to Forvis Mazars' quality objectives.

Resources

Professional and quality-oriented role

As part of our quality ambitions we implemented a system in which upcoming directors / partners will need to contribute to tasks aimed at the development of the professional practice and quality (hereinafter ‘Quality Projects’) within a period of five years prior to their appointment.

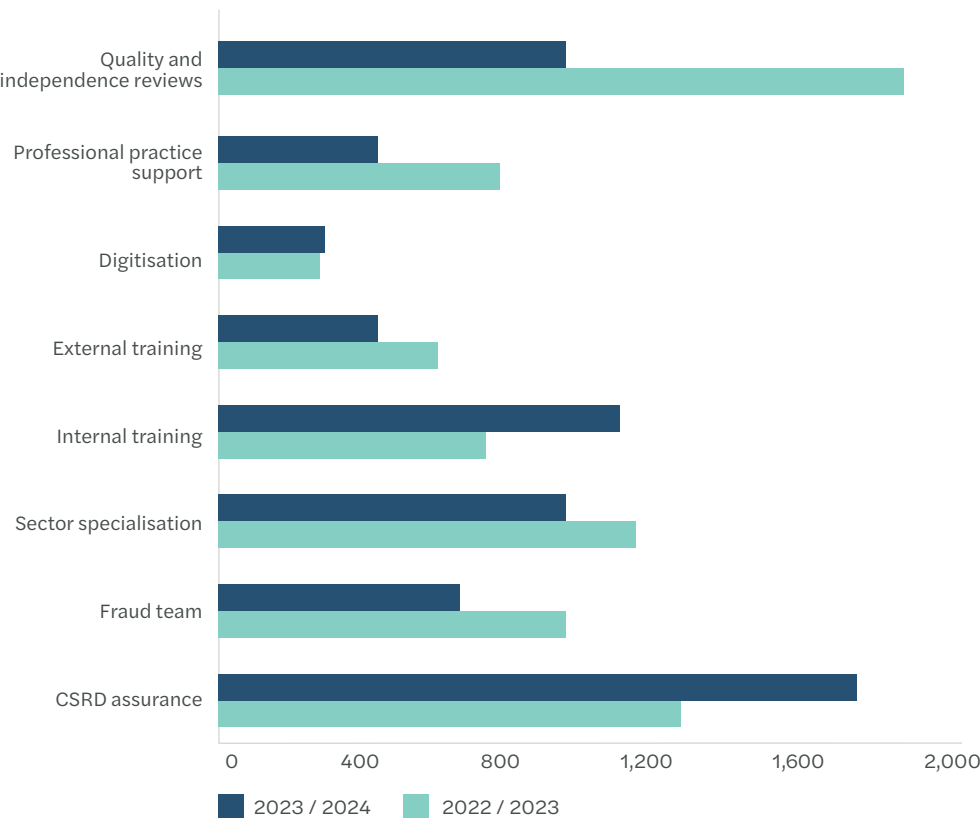
This task is mandatory for becoming a PIE partner. Forvis Mazars has decided to implement the requirement for all future directors / partners in the Audit & assurance service line. The requirement is implemented as follows:

- The minimum amount of hours dedicated to the quality projects amounts to 1,000 hours, divided over the five years previous to the appointment.
- The hours need to be made previous to the appointment as director or signing auditor in the statutory audit domain.

Realisation 2023 / 2024

In 2023 / 2024 39 colleagues contributed to the quality projects (2022 / 2023: 48), spending a total of 6,326 hours (2022 / 2023: 7,553).

Quality projects in hours



Resources

Professional and quality-oriented role

The average number of hours made by the employees slightly increased from 157 in 2022 / 2023 to 162 in 2023 / 2024. The overview shows the development and explanation per topic.

Project	Hours 2023 / 2024	Hours 2022 / 2023	Explanation
Quality and independence reviews	912	1,786*	Time spent decreased compared to previous year. Main reason is that the Quality Reviews (IKO) in 2022 / 2023 were more performed by the CQR department with support of external reviewers. Furthermore, more directors and partners were used as internal reviewers and less managers and senior managers.
Professional practice support	383	734	This contains several types of projects. In 2023 / 2024 big projects were the renewal roll out of ISA 600 Revised and the work group that aims to achieve more effectiveness in the audit approach.
Digitisation	254	220	Projects in this category are the development of our new audit platform and the development of data analytics. At the end of 2022 / 2023 the new audit platform was released. 2023 / 2024 was mainly aimed at fixing bugs and giving support to teams on practical questions.
External training	402	566	In 2023 / 2024 an employee who delivered lots of external training left the organisation. Furthermore, one employee who was senior manager in the previous year became director. Directors are not included in this overview.
Internal training	1,073	709	In 2023 / 2024 more colleagues signed up for delivering training. Furthermore, the CSRD training programme was developed and started in 2023 / 2024. This training is given internally.
Sector specialisation	939	1,122	No specific development here. Less hours spent on sector support mainly due to two colleagues leaving the organisation who's tasks were taken over by directors and/or partners.
Fraud team	635	922	The decrease in hours is not an indication that Forvis Mazars spent less time on the quality development of this important topic. On the contrary. Forvis Mazars has installed a team of fraud specialists besides the fraud coaches. This is a team of forensic auditors and they performed a part of the coachings and a large part of the quick scans related to fraud. Also a few fraud coaches are now director and therefore no longer included in this overview.
CSRD assurance	1,726	1,254	In 2023 / 2024 further investments were made in the development of our CSRD assurance.

*Adjusted for comparison purposes.

Engagement performance

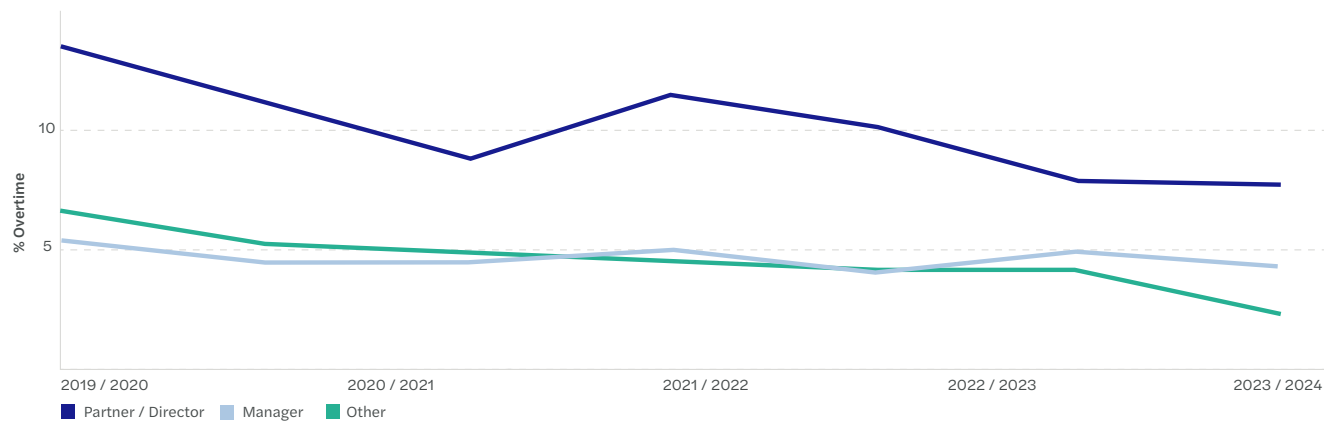
Availability of time, people and resources

Function	2023 / 2024		2022 / 2023	
	Overtime (hours)	In %	Overtime (hours)	In %
Partner / Director	6,161	7.8%	5,970	7.9%
Manager	4,663	4.3%	5,185	4.9%
Other	12,576	2.3%	20,817	4.2%
Total	23,400	3.2%	31,972	4.7%

Overtime

The number of overtime hours decreased significantly with 8,500 hours compared to last year (percentage wise from 4.7% to 3.2% of total hours). This drop in overtime hours is a consequence of less hours on junior and medium function levels.

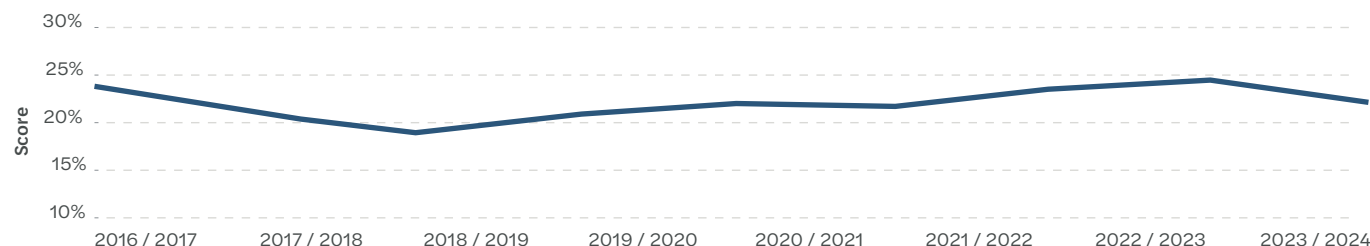
Overtime per year and function (%)



Engagement performance

Availability of time, people and resources

Change in engagement involvement of auditors (%)



	2023 / 2024	2022 / 2023
	%	%
Partner involvement in audit engagements	5.8	6.1
Partner involvement in PIE audit engagements	6.8	8.1

The table below shows an increase in hours spent by partners and directors on engagements. Mainly due to the introduction of the new audit platform Atlas NextGen an even larger increase in the number of hours by other employees was realised. This causes the drop in relative partner involvement on the audit engagements.

Breakdown of audit hours spent

The breakdown of time spent by partners, directors, senior manager and other employees by type of engagement / work shows the following results:

2023 / 2024	PIE		Non-PIE		Other engagement		Other activities		Total
Partners / Directors	5,961	15.5%	22,282	9.4%	8,500	9.3%	48,340	15.3%	85,083
Senior managers	8,963	23.2%	31,723	13.4%	9,052	9.9%	49,889	15.7%	99,627
Other	23,668	61.3%	182,478	77.2%	74,159	80.8%	218,824	69.0%	499,129
Total	38,592	100%	236,483	100%	91,711	100%	317,053	100%	683,839

Engagement performance

Availability of time, people and resources

2022 / 2023	PIE		Non-PIE		Other engagement		Other activities		Total
Partners / Directors	4,511	14.1%	21,264	10.8%	10,233	8.9%	44,996	15.6%	81,004
Senior managers	8,831	27.6%	30,843	15.6%	15,248	13.2%	44,480	15.4%	99,402
Other	18,626	58.3%	145,099	73.6%	89,983	77.9%	199,116	69.0%	452,824
Total	31,968	100%	197,206	100%	115,464	100%	288,592	100%	633,230

Methodology and technology

For the qualitative and consistent performance of audit engagements, we developed the Forvis Mazars Audit Manual (MAM), which is based on the International Standards on Auditing. The MAM was developed by the international MAM team, in which Forvis Mazars in the Netherlands is also represented. The manual consists of an explanation of the audit methodology, further application of this methodology, templates, models and training material.

Forvis Mazars in the Netherlands integrally incorporates the MAM. In addition, there is room for specific additions. In 2023 / 2024 the following topics were further elaborated:

- Fraud assessment
- Application and guidance regarding Atlas NextGen to financial statements audits
- Application of ISA 600 revised including updated checklists and templates

- FAQs to address day-to-day questions that emerged during implementation

The following topics were relevant in 2023 / 2024:

- Forvis Mazars has developed a new global platform (Atlas NextGen) to promote international consistency in approach and documentation. Atlas NextGen was rolled out in the summer of 2023 and has been implemented in the Netherlands during 2023 / 2024 for financial statements audits. For 2024 / 2025 this scope will be extended.
- Forvis Mazars in the Netherlands is a member of the Forvis Mazars ISA 600 Revised working group who develops the new guideline, training and tools / templates that are needed for the implementation of this revised standards on group audits.
- Internationally, Forvis Mazars is developing an assurance manual for CSRD assurance. A Dutch colleague is active member of the working group that develops this manual.



Engagement performance

Forvis Mazars Business Services

Forvis Mazars Business Services Morocco (MBSM) is an integrated delivery platform within the Forvis Mazars partnership, designed to support engagement teams by handling specific tasks. The tasks performed by MBSM are primarily non-client-facing clerical activities. Utilizing MBSM supports standardisation of audit work, as the tasks are executed according to standard operating procedures and the platform is subject to centralised quality assurance. This approach also frees up highly qualified personnel from performing simple tasks. In 2023 / 2024, MBSM dedicated approximately 7,000 hours, a significant portion of which was allocated to supporting the migration of audit files to Atlas NextGen.

Atlas NextGen

Forvis Mazars Group has developed a new global audit platform (Atlas NextGen) to be used in all integrated countries. An important objective is to work in uniform tooling based on compliance with the ISA's and our MAM. The software is designed on the technical demands with functionalities enabling scalability and customisation to local requirements, securing quality and compliance across the entire firm. It is based on a default minimum audit workflow which can be extended according to the complexity of our clients and local regulatory needs. With the use of Atlas NextGen, we will achieve further operational integration – connecting all auditors globally and resulting in a greater consistency across our services worldwide. A workflow helping us to be compliant with the ISA's and the MAM is the starting

point. The tooling is based on modules for acceptance & scoping, planning & risk, audit response and completion. Further development is on the agenda for the upcoming year(s), e.g., with respect to integration with our Signals portal and data exchange with clients as well as implementation of ISA 600R. This fits perfectly in our quality program 'Trust through Quality'.

In 2023 / 2024 Forvis Mazars in the Netherlands implemented the tooling for almost all statutory audits. The strategy based on a full migration had a huge impact, however prevented us from having multiple systems active for the 2023 audits. Moreover, using one system makes teams familiar with Atlas NextGen more quickly. Our team in Morocco supported us with the migration. However, the full migration strategy and the start-up issues had a major impact on the deployment of teams. Regular meetings of superusers per office as well as the project team and the steering committee for Atlas NextGen helped us during this phase. In the end, we believe that working in uniform tooling and compliance with regulations remains our primary goal and we now have a strong foundation to further improve audit quality.

MAPLE

The Forvis Mazars Group's Methodology and Policy Library Explorer (MAPLE) platform is a digital tool, powered by leading content management software, which makes the MAM and associated Q&RM policies available to all team members in one convenient location.

Engagement performance

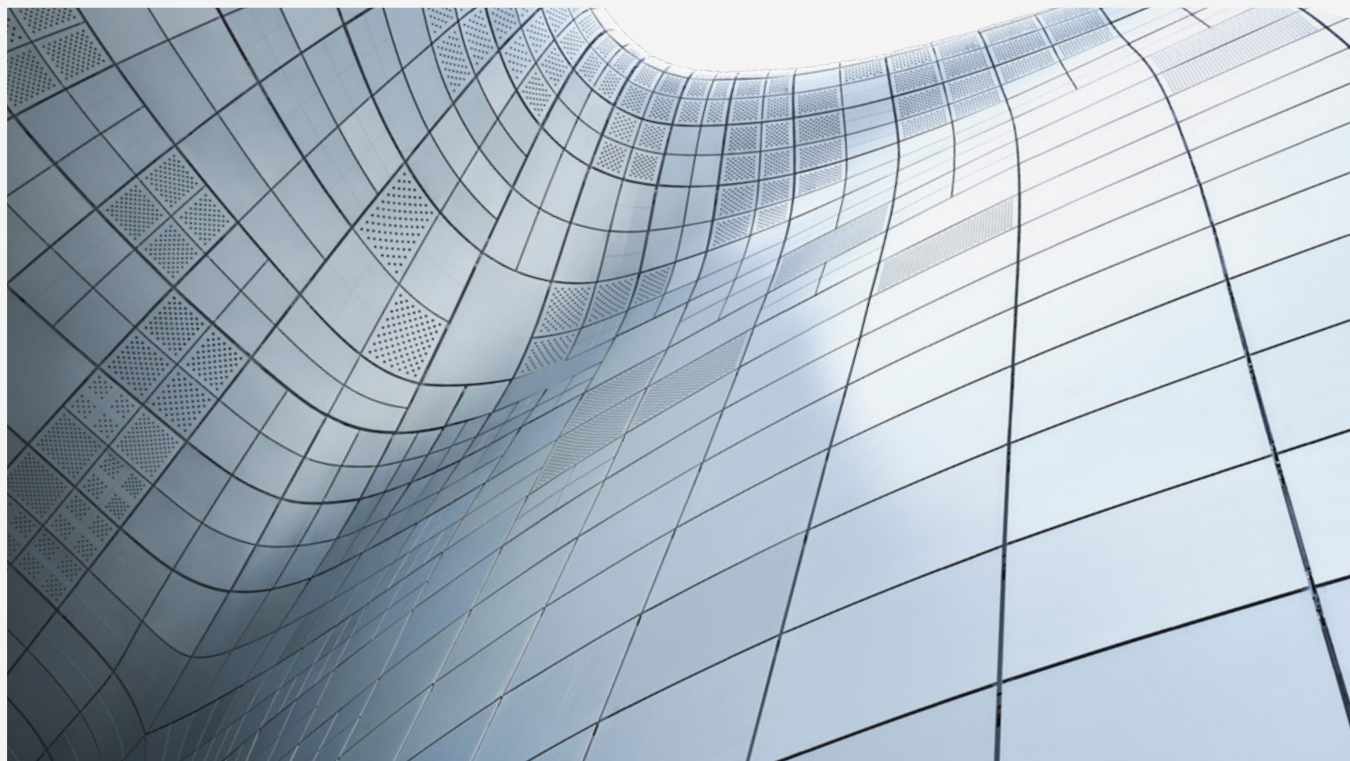
CSRD

The new sustainability reporting and assurance requirements of the CSRD, mean a significant change for our clients and for Forvis Mazars alike. We have created a core sustainability assurance team which is aimed at building trust for external auditors, clients and external stakeholders by contributing to reliable sustainability information. In order to do so the core team's capacity is growing by recruiting specialists and by deepening its own expertise. In the upcoming year, we will continue our efforts to grow our team. While the current labour market presents some challenges, we are dedicated to attracting and retaining talent.

To ensure a high level of quality with respect to sustainability assurance, significant training efforts are needed to ensure that our talented people have the competencies to provide assurance to CSRD sustainability statements. The training for the wave one teams, which serve clients which need to include a sustainability section in their 2024 management board reports, is completed when this Transparency Report is issued. The training for all other colleagues involved in wave two engagements, expected to be more than 100 over 2025, is well under way. The training follows the timing of completing the 2024 and 2025 assurance engagements. The 2024 clients are working on their sustainability reports, and the assurance teams are involved in this process and are in progress of providing assurance on these reports. The 2025 engagements have also started and there we see that most clients are in the process of preparing their sustainability statement.

The core team also supports the development of the Forvis Mazars quality and risk procedures for sustainability assurance such as with respect to acceptance, independence and quality review. The team is involved in internal Forvis Mazars Group sustainability developments such as the development of the Sustainability Assurance Methodology (SAM). The team is also actively participating in external expertise groups such as at NBA level and at the Annual Reporting Council.

All measures combined are aimed at ensuring that Forvis Mazars' audit teams are ready to provide high quality assurance services to our largest clients who need to issue sustainability reports. Nevertheless, providing trust to sustainability information remains challenging. Interpretations and developing a new norm will require companies and auditors to go through a learning curve.



Engagement performance

Deployment of specialists

A specialist is regularly involved in the performance of audit engagements. The table provides an insight into the extent in which specialists were engaged during the performance of audit engagements and how this relates to the previous year.

The increase in hours in the deployment of specialists is a result of further increased use of IT Audit and data analysts in the performance of our audit engagements. The decrease in hours of tax specialists is a result of less hours on PIE engagements.

Specialism	2023 / 2024		2022 / 2023	
	(hours)	% deployment total	(hours)	% deployment total
IT	27,673	6.3%	18,527	5.4%
Tax	2,949	0.7%	4,740	1.4%
Valuation	3,764	0.9%	4,428	1.3%
Actuarial	69	0.0%	141	0.0%
Other	1,626	0.4%	3,369	1.0%
Total	36,081	8.3%	31,205	9.1%



Engagement performance

Technical consultations

Process

Professional consultations with the PPA department are an important pillar in the system of quality management. Apart from mandatory consultation, every auditor has the option of consulting with PPA. Our auditors frequently use this option. Given the importance of consultations for both quality management and learning purposes, PPA applies a low accessible consultation facility. Mandatory consultation is, among others, prescribed in the following situations:

- Disagreements regarding technical matters within the audit team
- (Suspected) fraud or possible non-compliance with law and regulations (including Wwft)
- Violation or threatened violation of ethical principles
- Going concern issues
- Qualified audit opinions
- Audit opinions including fraud risk and going concern sections (risk based)
- Error adjustments regarding financial statements or audit files

PPA organises the consultation process based on the following PDCA cycle:

Plan

- The consultation procedure as described in the Quality Assurance Manual (with a distinction between mandatory and non-mandatory consultation topics) and the quality control process around the daily consultations
- Permanent availability of at least one PPA colleague to handle consultations

Do

- Perform consultations (with a prescribed consultation form)
- Consultation with one or more PPA colleagues (if needed)
- Giving input for training courses and more extensive communication about certain consultations (e.g. in PPA's periodic newsletter and specific memos about technical topics)

Check

- Permanent check on the quality of consultations issued by other PPA colleagues; check performed before or after the issuance of the consultation, depending on the complexity
- Check whether consultation regarding error adjustments is reported to CQR

Act

- Implement adjustments to the consultation process
- Six-monthly reporting on consultations to the Executive Board
- Annual evaluation of the consultation process
- (In exceptional cases) correcting previously issued consultations



Engagement performance

Technical consultations

Consultations

Relevant consultation topics during 2023 / 2024:

Topic	2023 / 2024	2022 / 2023
Financial reporting	160	226
Audit & assurance	425	516
Fraud / Non-compliance with law and regulations / Wwft (money laundering)	49	36
Quality control	17	12
Independence	11	29
Ethics (other topics)	12	34
NOW (temporary emergency measure bridging employment due to Covid-19)	8	52
Other	20	14
Total	702	919

Explanation

The number of consultations for 2023 / 2024 is lower than previous year. Distinctive differences are:

- The decrease in the number of consultations regarding Audit & assurance is mainly the result of less mandatory consultations regarding the new sections about Fraud and Going concern in the auditor's reports of statutory audits because of a change to a risk based review system.
- The number of consultations regarding NOW reduced significantly due to the termination of various NOW-regulations during 2022 / 2023.
- Consultations regarding Fraud, NOCLAR and Wwft also in 2023 / 2024 increased as a result of more in depth attention to fraud due to mandatory reporting about this topic and the involvement of fraud experts during the audit engagements.
- The number of consultations in the field of financial reporting decreased due to an increase of informal consultations upfront.

Mandatory consultations

Mandatory consultations are registered separately. Of the total of 702 consultations, 488 consultations are qualified as 'mandatory' (2022 / 2023: 919 vs. 530).

Mandatory consultations have been issued by PPA on the following topics:

- Error correction financial statements

- Agreed upon procedures
- Fraud, suspected fraud and non-compliance with laws and regulations
- Going concern
- Qualified and extended audit reports
- Audit reports of statutory audit engagements including a going concern and fraud risk paragraph

Evaluation and adjustment of the system

At the end of the reporting year, an evaluation has been performed to complete the quality circle with regard to the process of consultation. The main conclusions from this evaluation are:

- Internal quality reviews and engagement quality control reviews do not reveal any indications that incorrect consultations have been issued.
- Similar to previous years the 'blame-free' error procedure remains relevant, given the number of consultations on this topic.
- The consultation procedure qualifies as a low threshold procedure given the number of formal and informal consultations.
- The existing mandatory consultation procedure can be characterised as an important quality measure.

Engagement performance

Engagement quality control reviews

Number of EQCRs

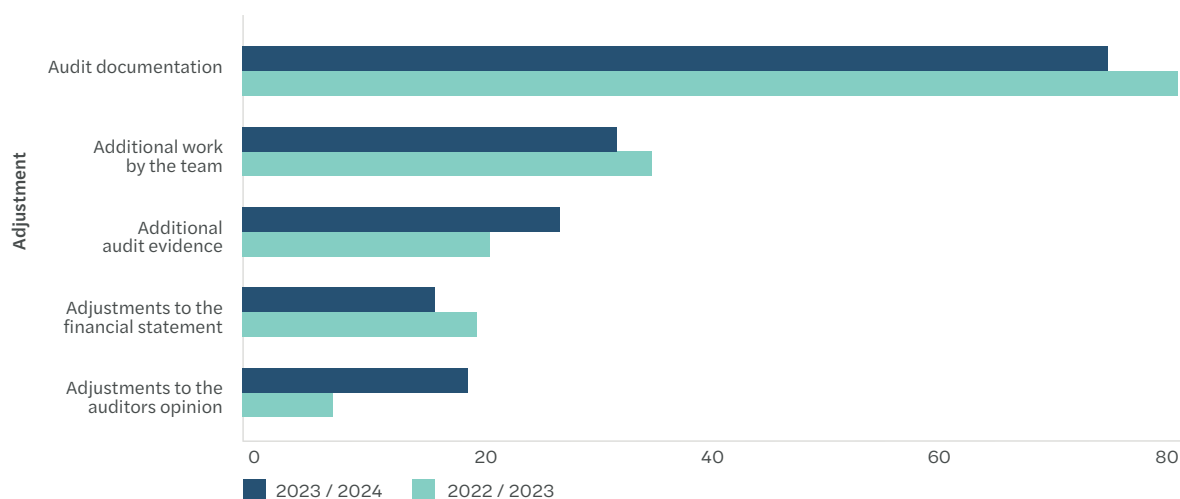
The number of statutory audits for which an engagement quality review (EQCR) was performed during the reporting year decreased from 133 in 2022 / 2023 to 110 in 2023 / 2024, mainly because of a decrease in the number of PIE audits.

	2023 / 2024	2022 / 2023
Number of engagements for which an EQCR has been performed:	110	133
• PIEs	62	82
• Non-PIEs	48	51
As a percentage of the total number of statutory audit engagements	17.9%	20.1%
Total hours spent on EQCRs	2,138	3,350
Average number of hours per EQCR	22.7	27.9

Implementation of EQCRs

This year, in 81% of the assigned EQCRs, adjustments in the performance of the audit engagements were made by the EQCR during the EQCR process (2022 / 2023: 78%). The adjustments mainly concerned these aspects.

The increase is in line with our expectations due to the lessons learned from the internal / external reviews and the role we expected from an EQCR.



Engagement performance

Coaching

Coaching is an important quality assurance measure. During coaching, the engagement partner and the audit team are supported in a blame-free manner in the performance of the audit engagement. Coaching is therefore an important element of a learning organisation.

Hot reviews are performed on a thematic approach and contain a strong coaching element. The number of engagements on which coaching was performed remained at the same level as the previous year (three files). Next to these two types of coaching, we still have a substantial number of engagements on which fraud coaching was performed last year.

	2023 / 2024	2022 / 2023
Number of file coaching	3	3
Number of hot reviews	5	9
Number of fraud coaching (planned)	52	38
Total number of engagements with coaching	60	50

Hot reviews

In 2023 / 2024 the following theme from the planning phase was selected for the hot reviews:

- Deepening of ISA 315 R: identifying and assessing the risks of material misstatement (five files)

The results of the hot reviews were reported to the board of Forvis Mazars Accountants and subsequently shared with the Supervisory Board. Hot reviews had a positive impact on the quality for the selected items. The lessons learned from the hot review were shared with the service line Audit & assurance through a one-pager 'What is going well? What could be better?'.

Fraud coaching

This year we also performed a significant number of audit engagements for which a fraud coach / fraud review on revenue recognition was allocated.



Engagement performance

Reports to external regulators

Reports of unusual transactions

	2023 / 2024	2022 / 2023
Total number of reports of unusual transactions to the Financial Intelligence Unit	30	22

Notifications AFM

	2023 / 2024	2022 / 2023
Article 12 notifications	8	6
Interim termination of statutory audit engagements	4	2
Disciplinary proceedings against external auditor	0	0
Incident reports	4	4

Article 12 notifications

The notifications under Article 12 EU Regulation 537 / 2012 were:

- Two notifications concern a disclaimer of opinion on the financial statements of a PIE
- One notification relates to a qualified opinion of the financial statements of a PIE
- Three notifications concern doubts or threats regarding continuity
- Two notifications relate to a material breach regarding a listed company (failure to timely file financial statements for relevant fiscal year and irregularities that have been identified with indications of potential fraud)

Interim termination of statutory audit

In the past year, three statutory audit engagements were terminated prematurely following the application of the article 403 exemption. In addition, one statutory audit engagement was terminated prematurely due to the change of the thresholds related to the classification of the size of the company.

Incident reports

Exam irregularities

During the execution of our internal inspection, we have decided to submit two incident reports to the regulator. For more information on exam irregularities see also page 61 of this Transparency Report.

Kick-back fees housing asylum seekers

A member of the management of a subsidiary of one of our clients has been accused of receiving so-called kick-back fees in relation to the rental of a large number of hotel rooms for housing of asylum seekers. Based on this, we decided to file a report with the regulator. In this case the FIOD requested our engagement files in relation to this client. In this case Forvis Mazars is not considered to be a suspect.

Claim by former CEO

The former CEO of one of our statutory audit clients filed a claim against us in relation to the performance of a NOW audit engagement (see also our Transparency Report 2022 / 2023). Because of legal proceedings, he was removed from his position as CEO and the shares of his participations are held in custody by a third person. In his claim he states that Forvis Mazars should be held accountable for the losses he suffered or will suffer from these actions. Following legal advice, we have rejected this claim and given the fact that he is no longer involved with our client, there is no consequence for the client relationship.

Engagement performance

Professional practice

accountancy

The staff of the PPA department counts 7.7 FTEs at the end of the reporting year (2022 / 2023: 7.5 FTEs). The composition of this PPA team is based on the following key themes:

- Audit & assurance
- Financial reporting (NL GAAP and IFRS)
- Ethics and independence
- Fraud and non-compliance with laws and regulations
- Accounting & outsourcing
- Education and training
- Wta (law on the supervision of audit firms) and NVKS (Additional Standards on Quality Systems)
- Quality and other topics

For all the relevant topics at least two PPA colleagues are experienced and involved in order to achieve and guarantee the required level of quality for professional practice issues.

As from 1 September 2024 the PPA-staff is extended with a colleague who is dedicated to CSRD assurance and ethics topics.

PPA has a strong, high-quality team and is more than prepared to provide the required support to quality in the audit and accounting service lines of Forvis Mazars.





Monitoring and remediation Compliance, quality monitoring & risk

André de Regt was the Compliance Officer during the financial year 2023 / 2024. The compliance officer is operationally supported in his daily work by the CQR department. The CQR department plays an important role in compliance monitoring, risk management, support for internal quality reviews, hot reviews, internal investigations, monitoring of quality measures and acceptance & continuance of clients and engagements. The total number of employees working for the CQR department has grown from 9.1 FTE to 10.9 FTE in 2023 / 2024. On top of this, CQR works with external consultants on an interim-basis in the areas of internal investigations and the ISQM1-project (total hours corresponds to the equivalent of 0.8 FTE).

Following the growth in existing tasks for the CQR department and new tasks in the area of acceptance and continuance of clients and engagements, and ISQM1, we have the intention to grow with 10 FTE.

Number of FTEs of directors, (senior) managers and other team members working in the CQR department at the end of the reporting year:

	2023 / 2024	2022 / 2023
Directors / (Senior) managers	9.4	7.6
Other team members	1.5	1.5
Total number of FTEs	10.9	9.1

Monitoring and remediation

Internal quality reviews

Each external auditor in the Audit & assurance service line is subject to a review of a (statutory) audit engagement at least once every three years, as part of the Internal Quality Review (IQR) programme.

In order to strengthen the review team we hired two experienced external reviewers to join the review team. We have made more concrete arrangements with audit teams and review teams, in order to reduce the lead time per review. We strengthened our procedures on how to deal with differences of opinion between audit team and review team; in those instances a robust consultation procedure was implemented.

Other than that we used the same principles for the IQR programme as in previous year:

- Focus on entire focus area in the financial statements rather than parts linked to significant risks
- Rating determined by IQR-panel
- Rating system based on the nature of the findings (significant findings) and the number of findings:
 - Good
 - Satisfactory with some areas to improve
 - Improvements required
 - Not satisfactory

Thirteen IQRs were planned for the IQR programme 2024. The execution of these reviews was originally foreseen for the period April until September. However due to unforeseen personal circumstances some reviews could not be executed as planned and had to be (partially) re-scheduled. In some other cases, the execution of the review took longer than planned due to unavailability of the audit team and/or review team. As a consequence, a couple of reviews have been finalised only recently. However, all reviews were finalised and discussed by the IQR-panel.

For three reviews the IQR results have been shared with the external auditor only recently. The formal appeal period regarding the results of these three reviews runs until mid-January 2025. Therefore, these are provisional results that may be adjusted as a result of ongoing appeal procedures. These three reviews are shown as 'in progress' in the table below.

	2023 / 2024 (Wta)	2022 / 2023* (Wta)
Good	6	4
Satisfactory with some areas to improve	1	2
Improvements required	0	1
Not satisfactory	3	4
In progress	3	0
Total	13	11

Since not all reviews have been finalised at this moment, it is too early to draw final conclusions. However, at this stage it is clear that the overall outcome of the internal review programme is not in line with our ambitions. Despite the fact that the number of (significant) findings is decreasing, both in total as in average per file, this has not resulted in more files with a satisfactory file rating.

We will finalise the IQR programme early 2025, so that a more in-depth analysis of the results can be carried out. This will be followed by sharing of lessons learned and actions to be taken to further improve the quality of files. One of these actions will also be a thorough root cause analysis related to engagements with a 'not satisfactory' rating.

*These are the numbers following the final outcome of the 2023 Internal Quality Review programme. At the moment of publishing the 2022 / 2023 Transparency Report, the rating for a small number of files were not final and were shown as 'in progress'.

Monitoring and remediation

Financial statements reviews

Process

Review of financial statements by PPA is part of the quality control process to determine whether the financial statements for which Forvis Mazars issues an audit opinion comply with the relevant laws and regulations. The following key provisions apply to the mandatory review:

- Financial statements prepared in accordance with Dutch GAAP (RJ financial statements) are reviewed if the relevant financial statements fall under the annual accounting regime for large legal entities for the first time or if these financial statements relate to a new engagement of a large legal entity. Financial statements of public sector housing institutions which classify as PIE are also within the scope of this review procedure. For clients with a high-risk profile, PPA and CQR are entitled to impose a financial statements review as an additional quality measure.
- Financial statements prepared in accordance with IFRS Accounting Standards (IFRS accounting standards financial statements) of clients with listed shares are reviewed annually. Other IFRS accounting standards financial statements are subject to a review every three years. For clients with a high-risk profile, PPA and CQR are entitled to impose a financial statements review as an additional quality measure.
- For other reports based on RJ or IFRS accounting standards, a specific review can take place at the request of PPA or CQR.

Reviews performed

The number of reviews during 2023 / 2024:

	2023 / 2024	2022/ 2023
IFRS reviews	13	24
Title 9 / aRJ reviews	37	38
Total	50	62

Evaluation

- The decrease in IFRS accounting standards reviews is mainly the result of the policy that 'other IFRS accounting standards financial statements' are reviewed every three years. The review cycle depends on the year that a client applies IFRS accounting standards for the first time, or on the year that an entity that applies IFRS accounting standards becomes a new client. As a result, there are fluctuations in the number of reviews performed per year.
- The number of RJ reviews has stabilised after several years with an increase in the number of reviews. As a result of the changes in the size criteria as from 2024 we expect that the number of RJ reviews will not increase further.
- From both the IFRS accounting standards and RJ reviews conducted, it can be concluded that in most cases the reviews still give cause for comments / recommendations.

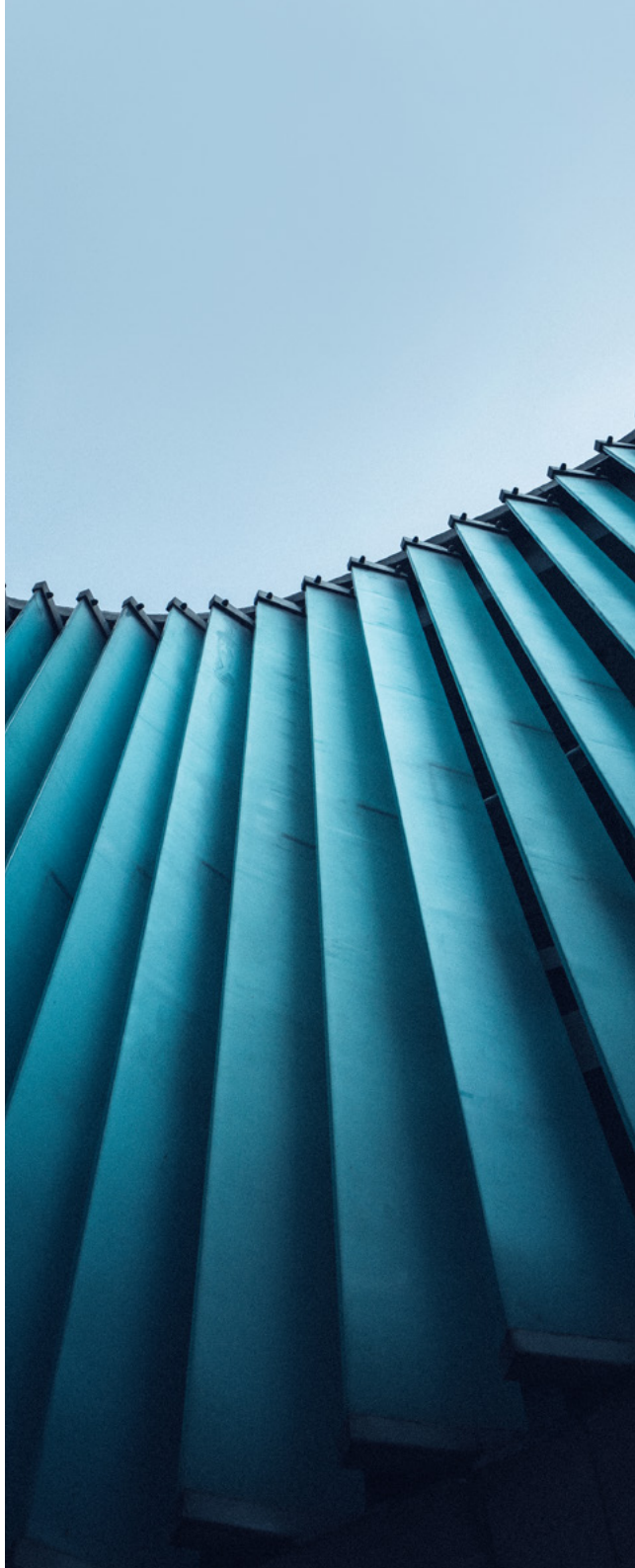
Consequently we decided to keep the internal procedures as described above in place for 2024 / 2025.

Monitoring and remediation

Root cause analysis

Forvis Mazars is continuously focused on performing audit engagements on a high-quality level in line with our quality vision 'Trust through Quality'. Root cause analysis an important part of our system of quality control and contributes to the continuous improvement of audit quality.

This year we performed a root cause analysis on the theme 'sufficient time', because there seems to be a difference in the perception of available time by employees and the management information. The Global People Survey results of 2023 shows that employees feel that there is insufficient time for audits and that they experience work pressure. However, this perceived high workload is not clearly visible in the management information. We investigated this difference on behalf of the Executive Board to identify the most important organisational causes and determine the remedial actions that respond to the underlying root cause(s).



Monitoring and remediation

Evaluation of system of quality management and follow-up

As part of the implementation of ISQM1 an overall evaluation of the effectiveness of our system of quality management has been performed. As part of this process independent testing was performed by the Risk consulting team of Forvis Mazars. The testing included an evaluation of the design, implementation and operational effectiveness of responses addressing the quality risks that have been identified. The performance of this testing phase resulted in valuable feedback regarding the description of controls, formalisation and/or enhancement of supporting documentation related to execution and effectiveness of the controls. Based on these test results actions have been formulated and will be implemented to address this where necessary, and to improve our system of quality management for 2024 / 2025.

In October 2024 our Chairman of the Executive Board Ton Tuinier performed the annual evaluation of our system of quality management (in his capacity as ultimate evaluator) and concluded that the existing system of quality management provides us with reasonable assurance that the objectives of the system are being achieved.

Monitoring and remediation

External reviews

AFM

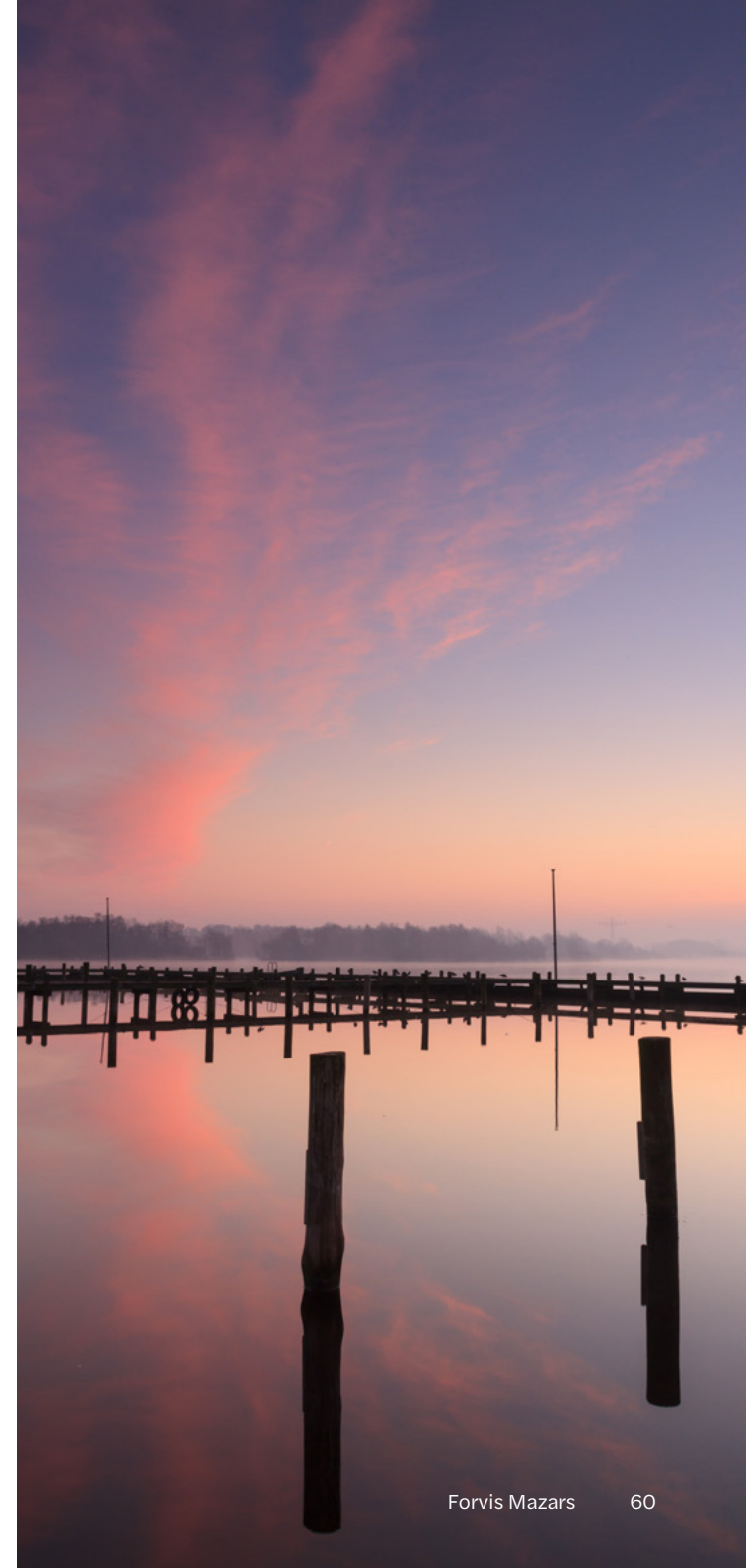
In 2023, the AFM performed an investigation in relation to the effectiveness of EQCRs performed. The AFM concluded that improvements are needed with regard to the depth of all three EQCRs reviewed and reported findings for two of the three engagements. Following this report (issued January 2024), we took various actions. At the moment of allocation the EQCR, it is now documented why a specific external auditor has been selected for the role of EQCR on a specific engagement. Also the EQCR form was changed in order to ensure that all relevant steps are executed and documented by the EQCR. Furthermore the rules around intermediate change of an EQCR have been taken into account in the revised version of our Quality Manual which will be published in due course. For all appointed EQCRs an annual training session was held in order to discuss 'lessons learned' from the previous programme and to highlight changes in the process.

During this financial year, the AFM also performed an investigation regarding the effectiveness of our internal quality review programme. In this regard the AFM assessed our internal policies and procedures around our review programme and has reviewed three audit engagements which had been reviewed in this internal inspection programme. The AFM concluded that improvements are needed with regard to the design of the internal quality review programme. For two of the three engagements, the AFM reported findings that were not identified during our internal inspection programme.

Following the final report (issued September 2024) by the AFM in relation to this investigation, we have taken the observations around the documentation of our policies into account in the revised version of our Quality Manual. Specific elements which were identified on a file level have been embedded in the 'lessons learned' session during the training courses in September 2024. Following findings related to the audit approach used for a project organisation, we have discussed these topics with external auditors who have similar clients and decided to change our audit approach for this type of clients.

For more information on the internal investigation around exam irregularities which was initiated following a request by the AFM, we refer to page 61 of this Transparency Report.

In August 2024, the AFM has started a thematical investigation regarding the auditors' response to fraud risks that have been identified. In this regard the AFM reviewed four audit engagements and performed an assessment of this focus area. At this moment we are awaiting the final version following this investigation. Once this report is received, we will perform an evaluation of the findings that have been identified in order to assess whether any changes are necessary in guidance, tools, etc.





Monitoring and remediation

External reviews

Other external reviews

In 2023 / 2024 no external reviews were performed by the Audit Department of the National Government (2022 / 2023: 0 files). The Ministry of Education, Culture and Science reviewed one file with a compliant result (2022 / 2023: 1 file, compliant).

Investigation into exam irregularities

In the past two years, an in-depth investigation took place into possible irregularities in exams taken by staff and partners of Forvis Mazars. All PIE licensed firms are performing similar investigations. The AFM, who asked the PIE firms to conduct this investigation, has been kept informed of the progress of this investigation from the beginning. The AFM is also conducting its own investigation. The findings of the AFM will be taken into consideration before finalising our own investigation.

For the calendar years 2018 to 2023 inclusive, an inventory was made of the relevant training and education courses that involved the taking of exams. This was done for the entire Forvis Mazars organisation, so in addition to the Audit & assurance service line, also for all other service lines.

Because of the desired depth of the examinations, the necessary care and personal data protection involved, this is a very time-consuming process. The investigative work included interviews with the people working in the service lines, research into metadata of the courses and training sessions taken, mailbox surveys, document reviews, interviews and adversarial discussions. The work is carried out by an investigation team under the supervision of a steering committee in which both the Executive Board and the Supervisory Board are represented. The AFM has been informed about the design and execution of the investigation.

We expect we will report on results and follow up in the first quarter of 2025.

Supervisory Board

Forvis Mazars' activities serve a general, public interest, and therefore its services must be of outstanding quality. Delivering quality is the basis for gaining trust from the public and other stakeholders. The public interest is at the centre of all Forvis Mazars' activities and therefore the focus of the Supervisory Board. The Supervisory Board's view on how it executes its roles is published on the [website](#).

It is the Supervisory Board's task to ensure the continuous improvement and innovation of the quality and independence of service delivery by supervising the Executive Board and the entire organisation. These goals are embedded in Forvis Mazars' quality vision 'Trust through Quality', against which progress is closely monitored. The Supervisory Board gathers and analyses information and discusses the outcome.

Composition

The Supervisory Board consists of four members who have knowledge of and affinity with safeguarding the public interest within legal and ethical frameworks, the markets in which Forvis Mazars operates and the characteristics of a partner organisation. Their experience and knowledge include management, risk and control of organisations, change management, digitalisation, and culture in the workplace. Full information on the background of the Supervisory Board members can be found on our [website](#).

As of 30 November 2023, Henk Broeders resigned due to completion of two terms. Pieter Jongstra succeeded him as chairman. At the same date, we welcomed Remco Vlemmix as a new member. He brings additional expertise through affinity with partner organisations, knowledge of (culture) change processes and digitalisation. The Supervisory Board is pleased that it continues to have gender parity.

During the year the Supervisory Board members had periodic meetings with the Executive Board, the management teams of the service lines, the Chief Compliance, Quality Monitoring & Risk Officer, Sounding Board Committee, Works Council, Young professionals and attended all the partner-shareholder meetings. In addition, delegations from the Supervisory Board participated in office visits, internal and external events, and stakeholder's meetings.

Reference is made to the schedules on page 64 for more details

Role and responsibility

A standing topic for meetings of the Supervisory Board is monitoring the progress of the implementation of the One24 strategy and this year also the lead up to the strategy for the next four years starting 2025. This includes the development of the focus areas defined in the strategy and the financial performance, by discussing challenges and key themes, such as culture change, quality improvement, operational challenges, digitalisation, market performance, collaboration and people and partner development.

Within the parameters set by Forvis Mazars Group, the Supervisory Board reviews and approves of the budget, the remuneration policy of both partners and employees, the (re)appointment and remuneration of the external auditors, and the appointment of (Audit) directors and all partners. The Supervisory Board approves of the financial statements, which include its own report, and determines the remuneration of the members of the Executive Board. The Supervisory Board supervises and advises also on the selection and dismissal of (candidate) partners.

This year the Supervisory Board started the selection process for the new Executive Board that will be appointed as per 1 January 2025. This required a long lead time due to the interaction between the Group's timeline regarding its 4-year cycle of strategy development and the approval process of the regulator. The process included a reflection on the roles and priorities of the Executive Board, given the further changing dynamics in the environment in which multi-service firms operate and the expectations from the different stakeholders. We had very worthwhile discussions with the partner group.

Supervisory Board

Monitoring quality developments

A recurring topic on the agenda of the meetings of the Supervisory Board is delivering quality in all services of Forvis Mazars with a specific focus on the Audit & assurance service line. Progress is closely monitored by the Supervisory Board. Given Forvis Mazars' ambition to further develop as a PIE Audit firm, it needs to meet a more diverse set of quality rules and guidelines, and its services serve a wider, often more international public interest.

ISQM1 is part of a Group-wide programme and thus includes controls that apply within the entire Forvis Mazars organisation globally, which are enhanced and/or adjusted to meet specific Dutch requirements. The results of the 2023 / 2024 test were shared and reviewed by the Supervisory Board. Its findings were discussed with the Executive Board, and the Supervisory Board will continue to monitor the required follow-up actions.

The Supervisory Board monitored the progress of several IT tooling projects which mostly aim to increase quality through standardisation of processes and files. In addition, these should result in increased efficiency and accessibility of information and files within teams. The progress of the implementation of Atlas NexGen was a regular agenda item due to the high investment involved, and the expected benefits of a successful implementation for future audit cycles.

ESG reporting, both internally and externally, and preparation for CSRD reporting were discussed and monitored. ESG puts further emphasis on the role of Forvis Mazars towards society, in particular the trust of the public and other stakeholders, clients, and also in Forvis Mazars itself. Knowledge development against the fast-evolving guidelines on ESG are regularly discussed.

The Supervisory Board monitored communications with and reports by the regulator (AFM). The periodic meetings with the regulator offered the opportunity to reflect on its findings in institution-specific investigations and to discuss its policy developments and expectations regarding implementation thereof by audit firms. This year the agenda included also the composition of the new Executive Board.

The Supervisory Board discussed, periodically, at least every quarter the outcomes of internal and external quality reviews, not only with the Executive Board but also directly with the Chief Compliance, Quality Monitoring & Risk Officer. These discussions include measures taken in relation to conclusions drawn from these cases. The Supervisory Board encouraged the further expansion of the CQR department and closely monitors the recruitment efforts to fill the open vacancies.

The interim results of this year's IQRs showed a decrease of results and remain below our expectations. A root cause analysis of these results will follow soon to analyse the causes and to derive the lessons to be learned for the organisation. The further improvement of these results remain on the agenda.

Another topic in respect of quality is staff and people management. This year additional input could be found in the Global People Survey which was conducted in the fall of 2023. The Supervisory Board discussed culture, including related topics such as attrition, recruitment, training and hiring, role and future replacement of independent contractors who temporarily reinforce teams. Where results from the GPS deviated from the general outcome, a more in-depth review into the causes and interventions to address this was discussed with the Executive Board and the Culture and Purpose Officer.

Developments regarding possible claims or (internal) incidents are closely monitored. Regretfully there are cases in which Forvis Mazars attracts publicity. The Supervisory Board was actively informed by the Executive Board on these specific cases.

Supervisory Board

Exam irregularities

Continued attention was given to the internal investigations into possible irregularities in exams taken by staff and partners of Forvis Mazars. The Supervisory Board is directly involved in the steering committee driving these internal investigations. Due to the detail, desired care and depth of the investigations, a very intensive process. The investigations are nearing their end. The outcome of the investigations is expected in the first quarter of 2025.

It is without doubt that exam misconduct is in breach with the Forvis Mazars values and those of the professionals working there. The Supervisory Board will closely monitor the follow-up of the findings as well as the necessary measures to be able to guarantee the desired ethical and quality-oriented culture around examinations.

Public interest versus corporate interest

The Supervisory Board supervises and advises the Executive Board of Forvis Mazars with the aim of optimally safeguarding and continuously improving the organisation's actions in the public interest. The structural process of managing the organisation based on the service lines, as well as the implementation of the culture programme aimed at a quality-driven culture and behaviour as well as inclusiveness, continued with vigour.

The Supervisory Board notes that the Executive Board, and the partners and employees of Forvis Mazars, also represented by the Young professionals boards, are implementing these changes with dedication. It is, however, the duty of the Supervisory Board to continuously monitor their progress constructively and critically, and to monitor its materialisation through demonstrable results, so that the intended outcome is achieved. The Deep Dive Quality, a joint effort with the Executive Board and some people involved in the quality process, provided valuable insights.

Forvis Mazars characterises itself as a company with strong social, sustainable values and standards, and its focus is therefore on translating the measures for the public interest into the organisational structure, communication actions and recording.

Progress, measures, and status are a continuous subject of discussion in every meeting with the Executive Board and other Forvis Mazars professionals.

Public versus corporate interest includes the acceptance of clients. The Executive Board regularly consults the Supervisory Board on this process, and, in more general terms, the client acceptance conditions are discussed.

As a member of the global Forvis Mazars partnership, international cooperation is also discussed. The Supervisory Board met and is in regular contact with the CEO of Forvis Mazars Group. These discussions included the development of the international network between Mazars SC and FORVIS effective as of 1 June 2024.

Name	Position	Year of Birth	Nomination date	End of term
Pieter Jongstra	Chair	1956	1-5-2019	30-4-2027
Mariëtte Turkenburg	Vice-chair	1960	1-12-2022	30-11-2026
Erna Versteegden	Member	1967	1-12-2022	30-11-2026
Remco Vlemmix	Member	1972	30-11-2023	29-11-2027

2023 / 2024	Attendance SB meetings	Attendance EB SB meetings
Henk Broeders - chair until 30 November	100%	100%
Pieter Jongstra - chair since 30 November	100%	100%
Mariëtte Turkenburg	100%	100%
Erna Versteegden	100%	75%
Remco Vlemmix	100%	100%



Supervisory Board

The Supervisory Board also monitors to what extent policy developments at group level match the Dutch objectives. A desired change by Group in the partner's remuneration policy to include a larger merit-based component is closely monitored through participation in the Dutch working group by one member of the Supervisory Board to ensure that the accompanying KPIs meet the Dutch standards and support the goals set for the organisation.

During 2023 / 2024, four official Supervisory Board meetings took place followed by combined Executive Board and Supervisory Board meetings.

The Supervisory Board undertook an evaluation process in January 2024. Besides the existing process, the Supervisory Board decided to establish a roster of service lines and tasks for which they are responsible with alternates to ensure that the Supervisory Board can operate efficiently and effectively as one team with one voice. In addition, the Supervisory Board developed its own permanent education programme. This programme got the format of so-called Deep Dives; in-depth sessions on selected topics during which, on the basis of presentations by inside or outside specialists, not only knowledge is shared but this knowledge is used also as the basis for discussions on the potential impact and/or opportunities for the firm. These Deep Dives are attended by the Executive Board and by partners and employees from the service lines and/or relevant staff departments. Topics discussed in these Deep Dives were Quality and Digitalisation.



Pieter Jongstra
Chairman



Mariëtte Turkenburg



Erna Versteegden



Remco Vlemmix

Statement by policy makers

Forvis Mazars' quality control systems are designed to ensure as far as reasonably possible that the statutory audits are performed in accordance with applicable legislation and regulations.

This system of procedures and measures is constantly being further developed. This helps the organisation and us as Executive Board to achieve the desired improvement in the quality delivered and its monitoring. In the upcoming years, we will continue to make further improvements in order to gain better control as an organisation and Executive Board of the quality processes, to improve the quality of our audit work and the safeguarding of public interest within it. The Transparency Report presents our vision, efforts and the results achieved in respect of the quality policy pursued.

As a result of our internal evaluation of the quality control system, we, as policy makers, declare that:

- The quality control system is functioning effectively
- The Internal supervision of compliance with independence requirements has been performed

- A structured and effective policy is in place to keep the professional knowledge of our external auditors up to standard

Rotterdam, 27 December 2024
Forvis Mazars Accountants N.V.



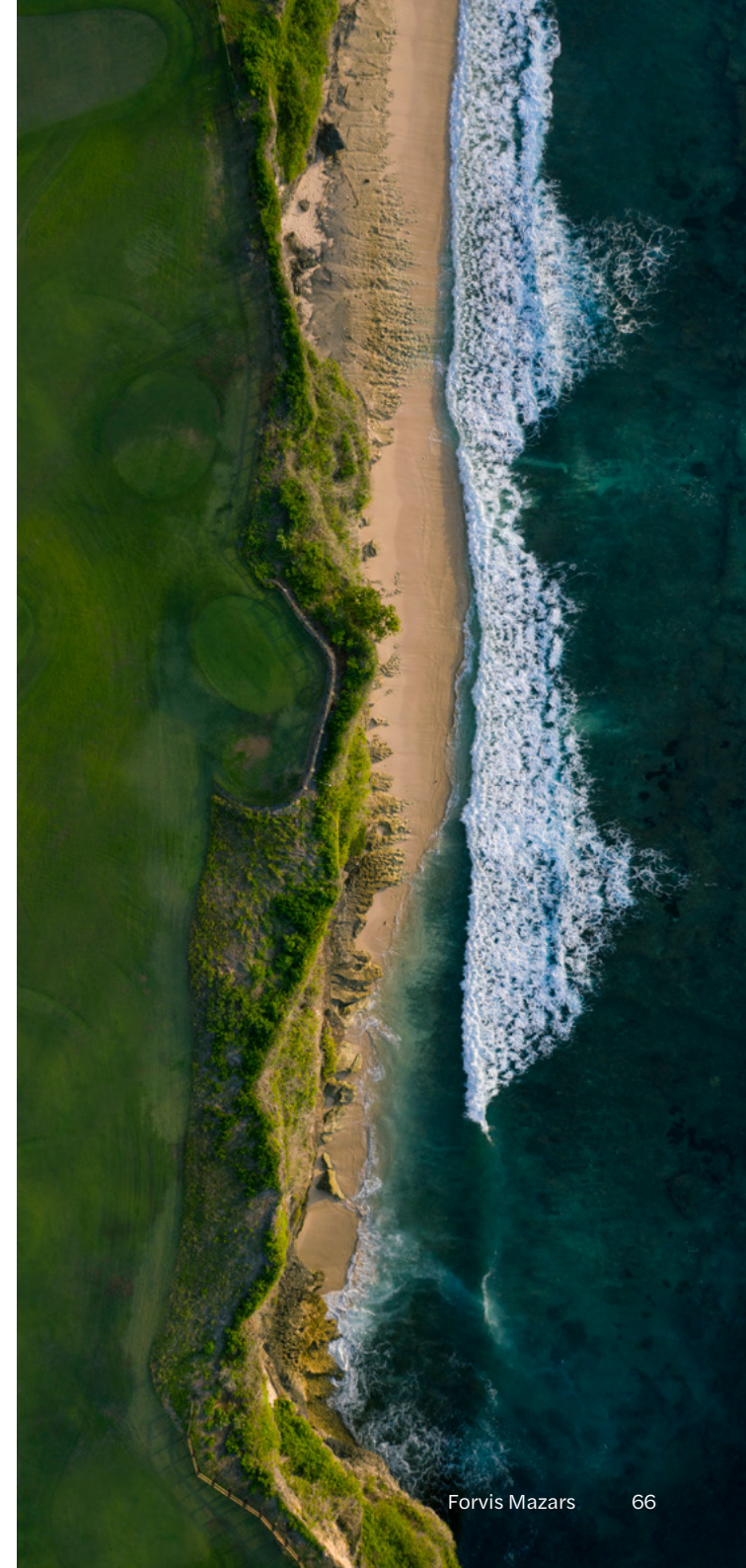
Ton Tuinier
Partner, Chairman of the Executive Board



Peter Hopstaken
Partner, Member of the Executive Board, Head of Audit



Anton Dieleman
Director Professional Practice Accountancy





Annexes

Appendix 1 Public Interest Entities

Stock Exchange funds

- Adriana Infrastructure CLO 2008-I B.V.
- Andorra Capital Agrícola Reig, B.V.
- Argentum Netherlands B.V.
- Beheerstrategie N.V.
- Boats Investments (Netherlands) B.V.
- Deco 14 - Pan Europe 5 B.V.
- Dilijan Finance B.V.
- Domi 2019-1 B.V.
- Domi 2020-1 B.V.
- Domi 2020-2 B.V.
- Domi 2021-1 B.V.
- Domi 2022-1 B.V.
- Domi 2023-1 B.V.
- Duchess VII CLO B.V.
- DUNIA Capital B.V.
- Dutch MBS XIX B.V.
- ELM B.V.
- Essence VI B.V.
- Essence VII B.V.
- Essence VIII B.V.
- FAB CBO 2003-1 B.V.
- Green Apple 2017-I NHG B.V.
- Green Apple 2018-I NHG B.V.
- Green Apple 2019-I NHG B.V.
- Green Apple 2021-I B.V.
- Halcyon Structured Asset Management European CLO 2007-I B.V.
- Hypenn RMBS I B.V.
- Hypenn RMBS VII B.V.
- Kendrion N.V.
- Malin CLO B.V.
- Merrill Lynch B.V.
- Morgan Stanley B.V.
- Munda CLO I B.V.
- Odeon ABS 2007-1 B.V.
- Oranjewoud N.V.
- Panther CDO IV B.V.
- Pepco Group N.V.
- Redcare Pharmacy N.V.
- Renoir CDO B.V.
- Rockall CLO B.V.
- Rothschild & Co Continuation Finance B.V.
- SnowWorld N.V.
- SPEAR Investments I B.V.
- ZOO ABS II B.V.

Annexes

Appendix 1 Public Interest Entities

Insurance companies

- Actua Schadeverzekering N.V.
- Glasassurantie Maatschappij Midglas N.V.
- KMU Verzekeringen N.V.
- Mercurius Schadeverzekeringen N.V.
- N.V. Verzekeringsbedrijf Groot Amsterdam (VGA)
- National Academic Verzekeringsmaatschappij N.V.
- Onderlinge Hagelverzekering Maatschappij Agriver B.A.
- Onderlinge Verzekerings-Maatschappij “Noord Nederlandsche P&I Club” U.A.
- Samenwerking Glasverzekering N.V.

Housing corporations

- Almelose Woningstichting “Beter Wonen”
- Oost West Wonen
- Stichting Area
- Stichting HABION
- Stichting Omnia Wonen
- Stichting Omthuis
- Stichting Ouderenhuisvesting Rotterdam
- Stichting Poort6
- Stichting Reggewoon
- Stichting Rijswijk Wonen
- Stichting Viverion
- Stichting Wold & Waard
- Stichting Woongroen

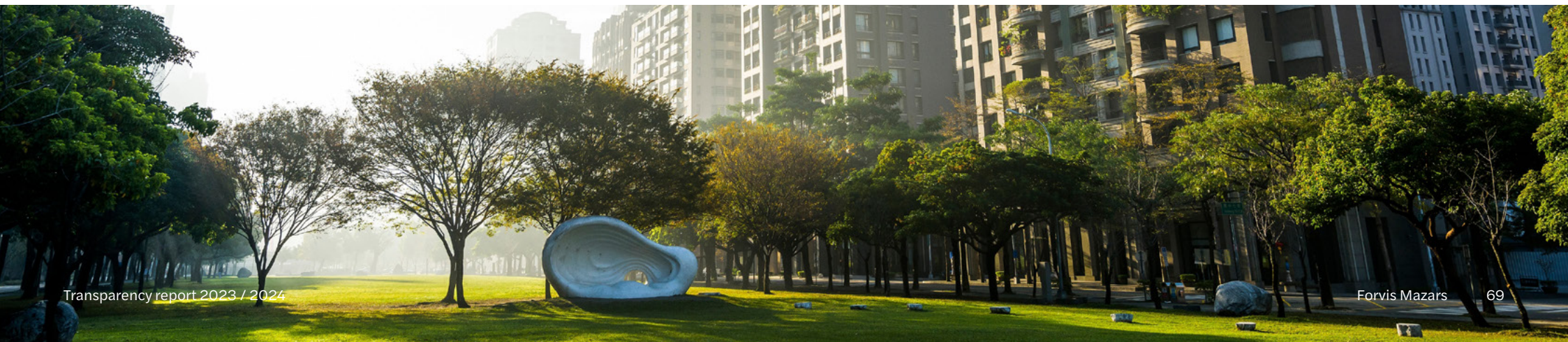
- Woningbouwvereniging de Sleutels
- Woningstichting De Goede Woning
- Woningstichting SallandWonen
- Woningstichting Vechtdal Wonen
- Woonmeij
- Woonstichting Groninger Huis
- Woonstichting JOOST
- Woonstichting SSW

Pension funds

- Stichting Pensioenfonds PostNL

Banks

- Citco Bank Nederland N.V.



Annexes

Appendix 2 Network organisations

Legal entities in the Forvis Mazars Group

As of 31 August 2024, the Forvis Mazars Group consisted of the following legal entities, which provide Audit and assurance services.

Africa & Middle East

Country	Entity name(s)
Algeria	Mazars Audit Algérie
Angola	Forvis Mazars - Auditores & Consultores, Lda.
Bahrain	Forvis Mazars
Benin	Mazars Benin
Botswana	Mazars Partnership (Botswana)
Burkina Faso	Forvis Mazars
Cameroon	Forvis Mazars Cameroun
Côte d'Ivoire	Forvis Mazars
Democratic Republic of Congo	Mazars République Démocratique du Congo SARL
Egypt	Mostafa Shawki & Co Mostafa Shawki Consulting for Corporate Finance & Securities SAE
Gabon	Forvis Mazars Gabon
Ghana	Forvis Mazars in Ghana
Jordan	International Professional Bureau Consulting & Audit Co.
Kenya	Emu Registrars Mazars Kenya
Kuwait	Accounting Center Certified Public Accountants
Lebanon	Forvis Mazars Sal

Country	Entity name(s)
Madagascar	Cabinet Mazars Fivoarana
Mauritius	Mazars Limited Mazars LLP
Morocco	Mazars Audit Et Conseil
Mozambique	Mazars, Lda
Niger	International Audit & Consulting, I.A&C Niger
Nigeria	Forvis Mazars
Oman	Forvis Mazars for Consultancy and Audit LLC
Palestine Territory	Mazars Chartered Accountants and Consultants
Qatar	Mazars Consultants Auditors and Partners Mazars LLC (Qatar)
Rwanda	Mazars Rwanda
Saudi Arabia	Al Kharashi Certified Accountants & Auditors Mashura Capital
Senegal	Forvis Mazars

Country	Entity name(s)
South Africa	Forvis Mazars International Services Pty Ltd Mazars Cape Town Mazars Central Inc Mazars Durban Mazars Empowerment Investments (Pty) Ltd Mazars Financial Services Africa (Pty) Ltd Mazars Gauteng Mazars Gauteng Inc Mazars Port Elizabeth Mazars Services Trust
Tanzania	Forvis Mazars
Togo	Mazars Togo
Tunisia	ECC Mazars Strategy And Business Consulting International
Uganda	Forvis Mazars BRJ
United Arab Emirates	Forvis Mazars Audit Accounting and Advisory Limited Forvis Mazars Chartered Accountants Forvis Mazars Tax Consultants LLC
Zimbabwe	KLMCA Advisory Services KLM Chartered Accountants

Annexes

Appendix 2 Network organisations

Americas

Country	Entity name(s)
Argentina	Estudio Urien & Asociados
	Estudio Urien S.R.L.
Bermuda	Forvis Mazars Limited in Bermuda
Brazil	Mazars Auditores Independentes - Sociedade Simples LTDA.
	Mazars Auditores LTDA.
Canada	9089-1060 Québec inc.
	Forvis Mazars S.E.N.C.R.L.
Cayman Islands	Mazars Cayman
	Mazars Limited
Chile	Forvis Mazars Auditores Consultores Limitada
Colombia	Mazars Colombia S.A.S Beneficio E Interes Colectivo- BIC
Mexico	Mazars Auditores, S. DE R.L. DE C.V.
	Mazars Guadalajara, S. DE R.L. DE C.V.
	Mazars Mexicali S. DE R.L. DE C.V.
Panama	Mazars Audit Corp.
Peru	Contreras y Asociados Sociedad Civil de Responsabilidad Limitada
Uruguay	Forvis Mazars Uruguay
Venezuela	Adrianza Rodriguez Cefalo & Asociados
	Mazars Venezuela

Asia Pacific

Country	Entity name(s)
Afghanistan	Mazars Afghanistan Limited
Australia	Forvis Mazars APAC Energy and Infrastructure Pty Ltd
	Forvis Mazars Assurance Pty Ltd
	Forvis Mazars Risk & Assurance Pty Ltd
	Forvis Mazars (Vic) Pty Ltd
China	Forvis Mazars (Beijing) Certified Public Accountants
	Forvis Mazars Certified Public Accountants
Hong Kong S.A.R., China	Forvis Mazars CPA Limited
India	Forvis Mazars
	Kalyaniwalla & Mistry LLP
	Kalyaniwalla Mistry and Associates
	Mazars Advisory LLP
	S. N. Dhawan & CO LLP
Indonesia	KAP Aria Kanaka & Rekan
Japan	Forvis Mazars Japan Audit LLC
Malaysia	Forvis Mazars Advisory Sdn Bhd
	Forvis Mazars PLT
Pakistan	Mazars M.F. & CO.

Country	Entity name(s)
Philippines	Yu Villar Tadeja and Co
Singapore	Forvis Mazars LLP (Singapore)
South Korea	Forvis Mazars Sebit Accounting Corporation
Taiwan	Forvis Mazars Taiwan CPAs
Thailand	Forvis Mazars Holding (Thailand) Ltd
	Forvis Mazars Ltd.
Vietnam	Mazars Vietnam Co Ltd

Annexes

Appendix 2 Network organisations

Europe

Country	Entity name(s)
Albania	Mazars Shpk
Austria	Forvis Mazars Audit GmbH Wirtschaftsprüfungsgesellschaft
	Forvis Mazars Business Services GmbH Steuerberatungsgesellschaft
	Forvis Mazars IT Services GmbH
	Forvis Mazars Partners GMBH Wirtschaftspruefungs- Und Steuerberatungsgesellschaft
Belgium	Forvis Mazars Bedrijfsrevisoren - Forvis Mazars Réviseurs d'Entreprises
Bosnia and Herzegovina	Mazars d.o.o
Bulgaria	Mazars OOD
Croatia	Forvis Mazars d.o.o.
Cyprus	Mazars Limited (Cyprus)
Czech Republic	Forvis Mazars Audit s.r.o.
Denmark	MAZARS statsautoriseret revisionspartnerselskab
Finland	Forvis Mazars Oy



Annexes

Appendix 2 Network organisations

Europe

Country	Entity name(s)
France	AGEC
	CBA
	Forvis Mazars & Associés
	Forvis Mazars (Montpellier)
	Forvis Mazars (Riems)
	Forvis Mazars (Rouen)
	Forvis Mazars (Strasbourg)
	Forvis Mazars (Toulouse)
	Forvis Mazars AOS Ouest
	Forvis Mazars Arcade Expertise et Audit
	Forvis Mazars Experts et Conseils
	Forvis Mazars Haguenau
	Forvis Mazars SA
	Mazars & Sefco
	Mazars (Lyon)
	Mazars Bourgogne France-Comté
	Mazars D.D.A
	Mazars Data
	Mazars Développement
	Mazars Dijon
	Mazars Entrepreneurs (Lyon)

Country	Entity name(s)
France	Mazars Galet Oldra
	Mazars Gourgue
	Mazars Haut de France
	Mazars Lons
	Mazars Pontarlier
	Mazars Uniconseils
Germany	Mazars Valence Experts & Conseils
	Forvis Mazars GmbH & Co. KG Wirtschaftsprüfungsgesellschaft Steuerberatungsgesellschaft
Greece	Forvis Mazars Certified Public Accountants Business Advisors SA
Hungary	Forvis Mazars Korlátolt Felelősségű Társaság
Ireland	Forvis Mazars
Israel	Bri Rotbart Raz Mazars Israel
Italy	Forvis Mazars S.p.A.
	Professionisti Associati Società Semplice
Kazakhstan	‘Mazars’ Limited Liability Partnership
Kosovo	Mazars Kosova SH.P.K
Kyrgyzstan	‘Mazars Audit’ Limited Liability Company
	Mazars Limited Liability Company
Latvia	Forvis Mazars Audits
Lithuania	Forvis Mazars Lithuania Audit
Luxembourg	Forvis Mazars
Macedonia	Mazars Revizija DOO
Malta	Forvis Mazars

Country	Entity name(s)
Netherlands	Forvis Mazars Accountants N.V.
Norway	Forvis Mazars AS
Poland	Mazars Audyt Sp. z o.o.
Portugal	Forvis Mazars & Associados, Sociedade De Revisores Oficiais De Contas, S.A.
Romania	Forvis Mazars Romania SRL
Serbia	Forvis Mazars d.o.o. Beograd
Slovakia	Forvis Mazars Slovensko
Slovenia	Forvis Mazars, družba za revizijo, d.o.o.
	Forvis Mazars IT, družba za informacijske stroitve, d.o.o.
Spain	Forvis Mazars Auditores S.L.P.
Sweden	eMeMeM AB
	Flora Revision AB
	Forvis Mazars AB
	Forvis Mazars KB
Switzerland	Forvis Mazars SA
Türkiye	Denge Bağımsız Denetim Serbest Muhasebeci Mali Müşavirlik A.Ş.
Ukraine	Audit Firm ‘Mazars Ukraine’ LLC
United Kingdom	Forvis Mazars LLP
Uzbekistan	Limited Liability Company ‘Mazars Advisory’

Contacts

Forvis Mazars

Tel: +31 (0)88 277 15 00

E-mail: info.nl@forvismazars.com

Forvis Mazars is a leading global professional services network. The network operates under a single brand with just two members: Forvis Mazars, LLP in the United States and Forvis Mazars Group SC, an internationally integrated partnership operating in over 100 countries. Both member firms share a commitment to providing an unmatched client experience, delivering audit, tax and advisory services across the globe.

© December, 2024

forvismazars.com/nl